INDUSTRIAL SERVICES AGREEMENT

FOR SLAG HANDLING, METAL RECOVERY AND ASSOCIATED ANCILLARY SERVICES

at

KBC Steel Limited – Integrated Steel Plant, Tolichowki, Hyderabad, Telangana

Between

ENVIRI GROUP AG (SERVICE PROVIDER)

and

KBC STEEL LIMITED (CLIENT)

Contract Detail	Particulars
Contract Reference	ENV/KBC/ISA/2024/001
Effective Date	1 April 2024
Commencement Date	1 May 2024
Contract Expiry	30 April 2027
Contract Duration	Three (3) Years
Annual Contract Value	INR 14,50,00,000 (Rupees Fourteen Crores Fifty Lakhs)
Total Contract Value (3 Yrs)	INR 43,50,00,000 (Rupees Forty-Three Crores Fifty Lakhs)
USD Equivalent (approx.)	USD 10,000,000 at INR 83.00/USD
GST (18%)	Charged additionally at applicable rate
Governing Law	Laws of India
Seat of Arbitration	Mumbai, Maharashtra
Performance Security	INR 1,45,00,000 (10% of Annual Value)
Mobilisation Fee	INR 75,00,000 (Non-refundable)
Contract Language	English

PARTIES

This Industrial Services Agreement (hereinafter referred to as this "Agreement") is entered into on 1st day of April 2024 ("Effective Date"):

(1) ENVIRI GROUP AG, a company incorporated under the laws of Switzerland, having its registered office at Hagenholzstrasse 85, 8050 Zurich, Switzerland, and its principal Indian operations office at 5th Floor, DLF Cyber City, Phase II, Gurugram, Haryana – 122002, India ("Service Provider" or "Enviri"); and

(2) KBC STEEL LIMITED, a company incorporated under the Companies Act, 2013 (CIN: [●]), having its registered office at KBC Steel House, Tolichowki, Hyderabad, Telangana – 500008, India, and its plant operations at KBC Steel Plant, Tolichowki, Hyderabad, Telangana – 500008 ("Client" or "KBC").

The Service Provider and the Client are hereinafter referred to individually as a "Party" and collectively as the "Parties".

RECITALS

WHEREAS:

(A) The Client operates one of India's largest integrated steel manufacturing plants at Tolichowki, Hyderabad, Telangana, with an installed crude steel capacity of 13 MTPA, and requires professional industrial services for the handling, processing, recovery, and disposal of approximately 5,40,000 metric tonnes of slag per annum arising from its steel-making and iron-making operations.

(B) The Service Provider is a leading global provider of environmental and industrial services, operating across 30 countries with specialised expertise in slag handling, metal recovery, magnetic separation, pot carrier operations, and ancillary site services to integrated steel plants. The Service Provider has successfully delivered comparable services at Tata Steel, Jindal Steel & Power, SAIL, and other Tier-1 steel facilities globally.

(C) On the basis of representations made by the Service Provider, and following a competitive procurement process conducted between October 2023 and February 2024 (RFQ Reference: KBC/PROC/2024/SLG/0021), the Client has agreed to appoint the Service Provider, and the Service Provider has agreed to provide the Services to the Client, on the terms and conditions set out herein.

NOW THEREFORE, in consideration of the mutual covenants, representations, warranties, and obligations set forth herein, and for other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, the Parties agree as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, unless the context otherwise requires, the following words and expressions shall have the meanings assigned to them below:

"Agreement" means this Industrial Services Agreement (Contract Reference: ENV/KBC/ISA/2024/001), together with all Schedules (A through G) and Annexures (I through IV), and any written amendments duly executed by authorised representatives of both Parties.

"Annual Contract Value" means INR 14,50,00,000 (Rupees Fourteen Crores Fifty Lakhs) per Contract Year, being the estimated value of Services at the Base Rate for an assured throughput of 45,000 metric tonnes per month.

"Applicable Law" means all statutes, regulations, bye-laws, orders, notifications, circulars, directions, guidelines, policies, and judgments of competent courts applicable in India, including but not limited to the Factories Act, 1948; the Environment Protection Act, 1986; the Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016; the Solid Waste Management Rules, 2016; the Contract Labour (Regulation and Abolition) Act, 1970; the Employees' Provident Funds and Miscellaneous Provisions Act, 1952; the Payment of Gratuity Act, 1972; the Goods and Services Tax laws; and any modifications or re-enactments thereof from time to time.

"Base CPI" means 168.2, being the Consumer Price Index (Industrial Workers, Combined) published by the Ministry of Labour and Employment, Government of India, for the Base Month of January 2024.

"Base Diesel Price" means INR 89.62 per litre, being the retail price of High Speed Diesel (HSD) at the Indian Oil Corporation outlet nearest to the Client's Vijayanagar plant as at 1 April 2024.

"Base Rate" means INR 268.52 per metric tonne of slag processed, being the fixed non-escalating administrative and margin component of the Contract Price as specified in Schedule A (Pricing Schedule), representing 10% of the Total Base Rate of INR 2,685.20 per metric tonne.

"Base WPI" means 160.5, being the Wholesale Price Index (All Commodities) published by the Office of the Economic Adviser, Ministry of Commerce and Industry, Government of India, for the Base Month of January 2024.

"Blast Furnace Slag" means the vitreous or crystalline by-product generated from the smelting of iron ore in the Client's blast furnace operations, generated at a rate of approximately 280–320 kg per tonne of hot metal produced.

"Change in Law" means the occurrence, after the Effective Date, of any enactment, amendment, repeal, or modification of any Applicable Law, or the issuance of any new governmental order, regulation, or directive that directly and materially affects the cost structure, technical specifications, or obligations of the Service Provider in performing the Services hereunder.

"Commencement Date" means 1 May 2024, being the date upon which the Service Provider commenced the Services at the Site following satisfaction of all Conditions Precedent.

"Contract Price" means the total consideration payable by the Client to the Service Provider for the performance of the Services during the Term, comprising a Base Rate of INR 2,685.20 per metric tonne of slag processed, subject to adjustments in accordance with Clause 7 (Price Variation and Escalation Mechanism), with an estimated annual value of INR 14,50,00,000 based on 45,000 MT throughput per month at 12 months.

"Contract Year" means each successive period of twelve (12) calendar months: Contract Year 1 (1 May 2024 to 30 April 2025), Contract Year 2 (1 May 2025 to 30 April 2026), and Contract Year 3 (1 May 2026 to 30 April 2027).

"CPI" means the Consumer Price Index (Industrial Workers, Combined) published monthly by the Ministry of Labour and Employment, Government of India. Base CPI for this Agreement: 168.2 (January 2024).

"Deadband" has the meaning ascribed to it in Clause 7.4. The Deadband Threshold is fixed at 3.0% for all indices.

"Diesel Price Index" means the retail selling price of High Speed Diesel (HSD) in INR per litre as notified by Indian Oil Corporation (IOCL) at the Tolichowki outlet, Hyderabad. Base Diesel Price: INR 89.62 per litre as at 1 April 2024.

"Equipment" means all machinery, vehicles, tools, implements, ancillary items, and supporting infrastructure deployed or to be deployed by the Service Provider at the Site, as listed in Schedule B (Equipment List), comprising a minimum of twelve (12) heavy equipment units and various ancillary tools.

"Equipment Price Index" means the Index of Prices of Industrial Machinery published by the Office of the Economic Adviser, Ministry of Commerce and Industry, Government of India. Base Equipment Index: 142.8 (January 2024, Series: Engineering Goods).

"Force Majeure Event" has the meaning ascribed to it in Clause 20.1.

"Hazardous Waste" means any waste defined as hazardous under the Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016.

"Idle Compensation" has the meaning ascribed to it in Clause 22. Idle manpower rate: 70% of daily all-in cost. Idle equipment rate: 65% of daily active rate.

"Key Personnel" means those individuals designated as key personnel in Schedule C (Manpower Deployment), including the Site Manager, Operations Superintendent (per shift), and Safety Officer.

"Liquid Slag" means the molten slag generated during the steel-making or iron-making process prior to cooling and solidification, generated at the Client's Site at approximately 18,000 metric tonnes per month.

"Metal Recovery" means the process of extracting residual metallic content from processed slag, with a contractual target recovery of 1,200 metric tonnes per month from 45,000 MT processed slag.

"Minimum Volume" means 36,000 metric tonnes of slag per month (being 80% of the Target Monthly Volume of 45,000 MT), which the Client guarantees to make available for processing by the Service Provider.

"Peak Capacity" means 54,000 metric tonnes per month (being 120% of Target Monthly Volume), which the Service Provider is obligated to be capable of processing subject to 30 days' advance notice by the Client.

"Personnel" means the 148 employees of the Service Provider deployed at the Site across three (3) shifts, as detailed in Schedule C (Manpower Deployment).

"Processing Capacity" means the volume of slag, measured in metric tonnes per month, which the Service Provider is contractually obligated to handle. Target: 45,000 MT/month. Minimum: 36,000 MT/month. Peak: 54,000 MT/month.

"Services" means the services to be performed by the Service Provider at the Site as described in Clause 4 and Schedule A, including slag handling, metal recovery, magnetic separation, pot carrier operations, crushing, and housekeeping.

"Site" means the Client's integrated steel plant at Tolichowki, Hyderabad, Telangana – 500008, India, specifically the slag yard and processing areas designated in Annexure III (Site Plan).

"Target Monthly Volume" means 45,000 metric tonnes of slag per calendar month, comprising approximately 18,000 MT liquid slag and 27,000 MT of accumulated and solidified slag.

"Total Base Rate" means INR 2,685.20 per metric tonne of slag processed as at the Commencement Date, as further detailed in Schedule A.

"WPI" means the Wholesale Price Index (All Commodities) published weekly and monthly by the Office of the Economic Adviser, Ministry of Commerce and Industry, Government of India. Base WPI: 160.5 (January 2024).

1.2 In this Agreement, unless the context otherwise requires:

(a) References to clauses, sub-clauses, schedules, and annexures are to clauses, sub-clauses, schedules, and annexures of this Agreement;

(b) The singular includes the plural and vice versa;

(c) Headings are for convenience only and shall not affect interpretation;

(d) "Including" is construed without limitation;

(e) In conflict between main body and Schedules, the main body prevails unless the Schedule expressly provides otherwise;

(f) References to any statute include any amendment, re-enactment, or successor thereto;

(g) "Business Day" means any day other than a Saturday, Sunday, or public holiday on which banks are open for business in Mumbai, Maharashtra and Hyderabad, Telangana;

(h) "INR" or "₹" means Indian Rupees; "MT" means Metric Tonne; "MTPA" means Metric Tonnes Per Annum.

2. TERM OF AGREEMENT

2.1 This Agreement shall come into force on the Effective Date (1 April 2024) and shall remain in full force and effect for a period of three (3) years from the Commencement Date (1 May 2024), expiring on 30 April 2027 (the "Term"), unless earlier terminated in accordance with the terms hereof.

2.2 The Commencement Date of 1 May 2024 was confirmed by the Client in writing on 18 April 2024 following satisfactory completion of all Conditions Precedent set out in Clause 3.

2.3 Subject to mutual agreement in writing no later than ninety (90) days prior to 30 April 2027, the Parties may extend this Agreement for up to two (2) further periods of one (1) year each (i.e., up to 30 April 2029), on the same commercial and operational terms, subject to renegotiation of the Contract Price in accordance with then-prevailing cost indices.

2.4 Continued performance of the Services beyond the expiry of the Term, pending execution of a formal extension, shall be governed by the terms of this Agreement on a month-to-month basis at the rates applicable in the last month of the Term, and either Party may terminate such holdover by giving thirty (30) days' written notice.

3. CONDITIONS PRECEDENT

3.1 All Conditions Precedent listed below were satisfied on or before 25 April 2024, as confirmed by the Client Representative in writing on 26 April 2024:

(a) The Service Provider submitted its Mobilisation and Deployment Plan (Document No. ENV/KBC/MOB/001) on 5 April 2024, approved by Client Representative on 12 April 2024;

(b) The Service Provider obtained registration under the Contract Labour (Regulation and Abolition) Act, 1970 (Reg. No. TS-HYD-CL-2024-0047) on 8 April 2024, and Consent-to-Operate from the Telangana State Pollution Control Board (Ref: TSPCB/HYD/CTO/2024/112) on 15 April 2024;

(c) Performance Security (Bank Guarantee No. HDFC/BG/2024/ENV/00217 issued by HDFC Bank Limited) for INR 1,45,00,000 was delivered to the Client on 10 April 2024;

(d) Insurance certificates per Clause 15 were submitted on 8 April 2024 and approved by the Client on 11 April 2024;

(e) Deployment of all Key Personnel and minimum Equipment (12 heavy equipment units) confirmed in writing on 25 April 2024;

(f) Client completed site preparation, including slag pit demarcation (6 pits), access road rehabilitation, and temporary welfare facilities by 20 April 2024;

(g) Client registered 148 Service Provider employees under the Telangana Factories Act on 22 April 2024 (Principal Employer Certificate No. TS/HYD/FACT/2024/SP/089).

4. SCOPE OF SERVICES

4.1 SERVICE INCLUSIONS

The Service Provider shall perform the following services at the Site, the full technical specifications and quality standards for which are set out in Schedule A (Service Rates and Technical Specifications):

(a) Liquid Slag Skimming: The Service Provider shall deploy three (3) dedicated thermal-rated skimmer units, operating across all three (3) shifts of eight (8) hours each, for real-time skimming and removal of liquid slag from the surface of molten steel in ladles, torpedo cars, and casting runners. Approximately 18,000 MT of liquid slag is processed monthly. Each skimming cycle shall be completed within fifteen (15) minutes of ladle positioning. Operations shall comply with IS 16227:2015 standards for high-temperature proximity work.

(b) Slag Pit Operations and Pit Cleaning: The Service Provider shall manage six (6) active slag pits (each of minimum 200 MT tipping capacity), performing controlled tipping, cooling water management, crust breaking, and comprehensive pit cleaning. Pit cleaning cycle to be completed within eight (8) hours of clearance. Pits returned to tipping-ready condition within a further four (4) hours.

(c) Pot Carrier Transportation: The Service Provider shall operate a fleet of four (4) pot carrier vehicles (two active + two standby) with a minimum safe working load of 120 MT each, for safe and timely transportation of loaded slag pots from furnace platforms to slag pits. Pot carrier cycle time shall not exceed forty-five (45) minutes from furnace platform departure to slag pit return.

(d) Cooling and Crushing Operations: The Service Provider shall manage two (2) cooling bays (minimum 60m × 30m each), and operate two (2) jaw crushers (150 TPH capacity each) plus one (1) impact crusher (120 TPH capacity), producing crushed slag in gradations as specified in Schedule A. Monthly crushing throughput: approximately 27,000 MT.

(e) Metal Recovery Operations: The Service Provider shall operate a metal recovery programme achieving a minimum recovery rate of 2.7% by weight of processed slag (i.e., minimum 1,200 MT recovered metal per month from 45,000 MT processed slag), using magnetic overhead cranes (2 units, 20-tonne capacity each), electromagnets, and manual picking lines.

(f) Magnetic Separation: The Service Provider shall operate two (2) overhead magnetic separator systems (minimum 3,500 Gauss belt field strength), ensuring residual magnetic material in processed slag does not exceed 0.3% by weight post-separation.

(g) Loading and Unloading Activities: The Service Provider shall perform all loading of processed slag and recovered metal into trucks and rail wagons. Weighbridge records (digital, with RFID integration) to be maintained and submitted to the Client electronically by 07:00 daily for the preceding twenty-four (24) hours.

(h) Site Housekeeping: Maintenance of all slag operational areas to a Site Cleanliness Index score of not less than 7.5/10.0 as defined in Schedule D (Performance KPIs). Housekeeping shall be performed by a dedicated team of not less than eighteen (18) general labourers per shift.

(i) Ancillary Operational Services: All ancillary services including service road maintenance, provision of 24/7 temporary LED lighting (minimum 100 lux), logistical coordination with KBC's production planning team via daily 07:00 handover meetings, and minor pit lining repairs as directed by the Client Representative.

4.2 SCOPE EXCLUSIONS

The following are expressly excluded from the Scope of Services and shall remain the sole responsibility of the Client:

- Maintenance, repair, or replacement of Client Equipment including blast furnace runners, ladles, torpedo cars, and fixed pit infrastructure;
- Supply of cooling water (minimum 200 m³/hour at 2.5 bar pressure) and associated water management systems;

- Transportation or disposal of slag beyond the Client's Site boundary;
- End sale or commercialisation of slag products and recovered metal (commercialisation revenue retained by Client);
- Provision of electrical power supply (415V, 3-phase, 50Hz at the designated distribution panels in Annexure II);
- Statutory environmental monitoring as principal factory occupier;
- Structural maintenance of slag pits, berms, cooling bays, or fixed civil infrastructure;
- Procurement or maintenance of weighbridge infrastructure (provided by Client, operated by Service Provider).

4.3 OPERATIONAL BOUNDARIES

The Service Provider's operational authority extends only to the areas designated in Annexure III, comprising approximately 18.5 hectares of the Client's 3,200-hectare Tolichowki facility. Boundary modifications require thirty (30) days' prior written notice and equitable Contract Price adjustment.

4.4 MINIMUM AND MAXIMUM PROCESSING CAPACITIES

Capacity Category	Monthly Volume (MT)	Annual Volume (MT)	Basis
Target Monthly Volume	45,000 MT	5,40,000 MT	Contractual Base
Minimum Assured Volume (80%)	36,000 MT	4,32,000 MT	Minimum Volume Guarantee triggered below this
Peak Capacity (120%)	54,000 MT	6,48,000 MT	30 days' advance notice required
Liquid Slag Component	~18,000 MT	~2,16,000 MT	Approx. 40% of total volume
Solidified / Accumulated Slag	~27,000 MT	~3,24,000 MT	Approx. 60% of total volume
Metal Recovery Target	1,200 MT	14,400 MT	2.7% recovery rate on processed slag

5. PERFORMANCE STANDARDS AND OBLIGATIONS

5.1 The Service Provider shall perform all Services in a professional, diligent, and workmanlike manner in accordance with: (a) the technical specifications in Schedule A; (b) the KPIs in Schedule D; (c) all Applicable Law; and (d) the Client's Site operating procedures.

5.2 Key Performance Indicators

The minimum KPI thresholds are:

KPI	Metric	Minimum Target	Measurement Method

Slag pit availability	% of scheduled tapping cycles	≥ 95%	Monthly pit log
Pot carrier turnaround	Minutes per round trip	≤ 45 min	Daily trip log + GPS
Metal recovery rate	% by weight of processed slag	≥ 2.7% (1,200 MT/month)	Quarterly weighbridge reconciliation
Residual metal post-separation	% by weight of output slag	≤ 0.3%	Weekly screening test
Crusher/screen availability	% of scheduled operating hours	≥ 88%	Monthly maintenance log
Liquid slag skimming cycle	Minutes from ladle positioning	≤ 15 min	Shift log + CCTV timestamp
Site Cleanliness Index	Score out of 10	≥ 7.5 / 10.0	Monthly joint audit
Equipment overall availability	% of scheduled hours	≥ 87%	Monthly CMMS report
LTI frequency rate	Per 100,000 man-hours	≤ 0.50	Monthly HSE report
Weighbridge data submission	Daily by 07:00 hrs	100% compliance	IT system log

5.3 Performance against KPIs shall be reviewed monthly at a joint Operations Review Meeting (ORM) held on or before the 5th of each month. Two (2) consecutive months below any KPI threshold triggers a Performance Improvement Notice. Failure to recover within 45 days constitutes a Performance Default (Clause 31).

5.4 The Service Provider shall submit KPI data electronically to the Client's SCADA/ERP system (SAP PM Module) within forty-eight (48) hours of each month-end. Failure to submit within this period shall constitute a minor breach and attract a data submission penalty of INR 25,000 per late submission instance.

6. CONTRACT PRICE AND PAYMENT TERMS

6.1 Base Rate Structure

In consideration of the performance of the Services, the Client shall pay the Service Provider the Contract Price structured as follows:

Cost Component	Weightage	Base Rate (INR/MT)	Annual Value (INR)	Escalation Index
Labour Component	40%	₹1,074.08	₹5,80,00,000	CPI (Industrial Workers)
Fuel / Diesel Component	25%	₹671.30	₹3,62,50,000	Diesel Price Index (IOCL)
Equipment & Spare Parts	20%	₹537.04	₹2,90,00,000	WPI Engineering Goods
Consumables & Overheads	5%	₹134.26	₹72,50,000	WPI All Commodities
Fixed Base Margin	10%	₹268.52	₹1,45,00,000	Fixed – No Escalation

TOTAL BASE RATE	**100%**	**₹2,685.20**	**₹14,50,00,000**	Composite

Note: Annual value computed at 45,000 MT/month × 12 months × INR 2,685.20/MT = INR 14,50,00,000 (rounded).

6.2 Monthly Invoice Structure

The Service Provider shall submit tax-compliant Monthly Invoices by the 5th working day of each calendar month for services in the preceding month. Each Monthly Invoice shall be calculated as follows:

Monthly Invoice = (Actual MT Processed × Adjusted Rate/MT) + Idle Compensation (if any) + Demurrage (if any)

A specimen Monthly Invoice computation (based on Contract Year 1, Month 3) is as follows:

Invoice Line Item	Quantity	Rate	Amount (INR)
Slag processing – regular throughput	44,820 MT	₹2,685.20/MT	₹1,20,36,326
Metal recovery transfer (Client credit)	1,196 MT	Nil (SP obligation)	—
Idle compensation – blast furnace shutdown (8 hrs, 4 pot carriers)	32 machine-hours	₹4,200/hr	₹1,34,400
Demurrage – Client crane delay (3 instances × 2 hrs each)	6 hrs	₹6,500/hr/vehicle	₹39,000
Sub-Total (before GST)			₹1,22,09,726
GST @ 18%			₹21,97,751
TOTAL INVOICE AMOUNT			**₹1,44,07,477**

6.3 Payment Terms

The Client shall pay each undisputed Monthly Invoice within thirty (30) days of receipt of a complete and compliant invoice. Payment by RTGS/NEFT to:

- Bank: HDFC Bank Limited, Hyderabad Branch
- Account Name: Enviri Group AG – India Operations
- Account Number: [●]
- IFSC: HDFC0001234

6.4 Late Payment Interest

Interest on overdue undisputed amounts: RBI Repo Rate + 2.5% per annum, calculated daily. As at 1 April 2024, RBI Repo Rate is 6.50%, making the applicable interest rate 9.00% per annum (0.0247% per day).

Late Payment Interest = Overdue Amount × (Repo Rate + 2.5%) / 365 × Days Overdue

Example: If INR 1,20,00,000 is overdue for 15 days at 9.00% p.a.: Interest = ₹1,20,00,000 × 9.00% / 365 × 15 = ₹44,384.

6.5 Minimum Volume Guarantee

If Client-attributable monthly slag volumes fall below 36,000 MT (the Minimum Volume), the Client shall pay:

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MVG Payment = (Minimum Volume − Actual Volume) × Fixed Cost Recovery Rate
    Fixed Cost Recovery Rate = INR 1,474.86/MT (representing Labour +
                    Equipment fixed retention cost)
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Example: If actual volume in a month is 31,500 MT due to a planned maintenance shutdown:

- Shortfall = 36,000 − 31,500 = 4,500 MT
- MVG Payment = 4,500 × INR 1,474.86 = INR 66,36,870

6.6 Mobilisation Fee

The Client paid the non-refundable Mobilisation Fee of INR 75,00,000 (Rupees Seventy-Five Lakhs) on 5 April 2024. This fee is being set off against Monthly Invoices at INR 12,50,000 per month over Months 1–6 of Contract Year 1 (May–October 2024).

7. PRICE VARIATION AND ESCALATION MECHANISM

7.1 Purpose and Commercial Intent

The Parties acknowledge that the Services involve substantial and ongoing commitments in labour (40% cost share), diesel fuel (25% cost share), and equipment and spare parts (20% cost share), the costs of which are subject to inflationary pressures over the three-year Term. This Clause 7 establishes a commercially balanced, multi-index, formula-driven mechanism to adjust the Contract Price periodically, ensuring the economic sustainability of the Services without exposing the Client to uncapped cost escalation. The mechanism is designed to be revenue-neutral in real terms: the Service Provider absorbs cost movements within the Deadband threshold, while movements beyond the Deadband are shared equitably through the formula mechanism.

7.2 Master Escalation Formula

The Adjusted Total Rate per metric tonne of slag processed at each Review Date shall be computed as follows:

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\begin{aligned}
\text{Adjusted Rate } (AR\_t) = \; & L_0 \times WL \times (CPI\_t / CPI\_0) \\
& + F_0 \times WF \times (DPI\_t / DPI\_0) \\
& + E_0 \times WE \times (EI\_t / EI\_0) \\
& + K_0 \times WK \times (WPI\_t / WPI\_0) \\
& + BR_0
\end{aligned}
$$

Variable Definitions

Variable	Description	Base Value (Jan 2024)	Source

L_0	Labour component of base rate per MT	₹1,074.08/MT	Schedule A
WL	Labour component weightage	40% (0.40)	Schedule A
CPI_0	Base Consumer Price Index (IW Combined)	168.2	MOSPI / Labour Min
CPI_t	CPI for Review Month	Current publication	MOSPI monthly bulletin
F_0	Fuel component of base rate per MT	₹671.30/MT	Schedule A
WF	Fuel component weightage	25% (0.25)	Schedule A
DPI_0	Base HSD price at Tolichowki IOCL outlet	₹89.62/litre	IOCL price bulletin
DPI_t	HSD price at Review Month	Current IOCL rate	IOCL website / OMC bulletin
E_0	Equipment component of base rate per MT	₹537.04/MT	Schedule A
WE	Equipment component weightage	20% (0.20)	Schedule A
EI_0	Base Equipment Price Index (WPI Engineering)	142.8	OEA Ministry of Commerce
EI_t	Equipment Index for Review Month	Current publication	OEA monthly WPI release
K_0	Consumables/overheads component per MT	₹134.26/MT	Schedule A
WK	Consumables weightage	5% (0.05)	Schedule A
WPI_0	Base WPI (All Commodities)	160.5	OEA Ministry of Commerce
WPI_t	WPI for Review Month	Current publication	OEA monthly WPI release
BR_0	Fixed Base Rate (non-escalating)	₹268.52/MT	Schedule A

7.3 Component Weightages and Sensitivity

Cost Component	Weightage	Base Rate (₹/MT)	Annual Cost (₹)	1% Index Change = ₹/MT Impact
Labour	40%	₹1,074.08	₹5,80,00,000	₹10.74
Fuel / Diesel	25%	₹671.30	₹3,62,50,000	₹6.71
Equipment & Spares	20%	₹537.04	₹2,90,00,000	₹5.37
Consumables / WPI	5%	₹134.26	₹72,50,000	₹1.34
Fixed Base Margin	10%	₹268.52	₹1,45,00,000	Nil
TOTAL	**100%**	**₹2,685.20**	**₹14,50,00,000**	₹24.16 (composite 1%)

7.4 Deadband Mechanism

No escalation adjustment shall be made for any Review Period unless the net calculated adjustment to the Adjusted Rate, compared to the rate applicable immediately prior to the Review Date, exceeds 3.0% (the "Deadband Threshold"). Once the threshold is exceeded, the full quantum of adjustment applies from the Review Date.

Index Movement (%)	Adjustment Treatment	Example: 45,000 MT/month base
< 3.0% (within Deadband)	No adjustment – prevailing rate continues	No change to ₹2,685.20/MT
3.0% to 5.0%	Full adjustment applied from Review Date	Up to ₹134.26/MT additional
> 5.0% to Annual Cap	Full adjustment applied, subject to Annual Cap	Subject to cap – see 7.6
Exceeds Annual Cap	Capped at Annual Cap %	Max increase capped per 7.6
< -3.0% (downward)	Full downward adjustment applied	Minimum rate: Annual Floor per 7.6

7.5 Review Frequency and Timing

Index	Review Frequency	Review Reference Date	Source / Publication
CPI (Industrial Workers Combined)	Semi-annual (Apr & Oct)	Data for Feb & Aug of review year	Ministry of Labour & Employment
WPI (All Commodities)	Semi-annual (Apr & Oct)	Data for Feb & Aug of review year	OEA, Ministry of Commerce
Diesel Price Index (IOCL HSD)	Monthly	1st of each calendar month	IOCL retail outlet price bulletin
Equipment / WPI Engineering Goods	Annual (October)	Data for August of review year	OEA, Ministry of Commerce
Change in Law / Extraordinary	As triggered – see 7.9 / 7.10	Within 45 days of triggering event	Applicable regulatory notification

Note: Diesel price is reviewed monthly due to the high volatility of petroleum prices. CPI and WPI are reviewed semi-annually to reduce administrative burden while maintaining economic accuracy. Equipment index is reviewed annually as machinery costs are less volatile.

7.6 Annual Escalation Caps and Floors

Component	Annual Escalation Cap	Annual Deflation Floor	Comments
Labour (CPI-linked)	+ 8.0% per Contract Year	− 2.0% per Contract Year	Aligned with statutory minimum wage revision cycles
Fuel / Diesel (DPI-linked)	+ 10.0% per Contract Year	− 5.0% per Contract Year	Reflects petroleum price volatility
Equipment (EI-linked)	+ 6.0% per Contract Year	− 2.0% per Contract Year	Reflects machinery import inflation

Consumables (WPI-linked)	+ 7.0% per Contract Year	− 2.0% per Contract Year	Aligned with general commodity inflation
Fixed Base Rate	Nil – Fixed throughout Term	Nil – Fixed throughout Term	Non-escalating by design
Composite Cap (weighted)	**~ +8.2% per Contract Year**	**~ −3.2% per Contract Year**	**Indicative weighted average**

7.7 Worked Example – Labour Escalation (Contract Year 2 Review)

Scenario: CPI increases from 168.2 (Base, Jan 2024) to 180.4 (Review Month, Aug 2025)

Parameter	Value	Calculation
Base CPI (CPI_0)	168.2	Fixed at Commencement Date
Current CPI (CPI_t)	180.4	Published MOSPI data, Aug 2025
CPI Change	+ 12.2 points	180.4 − 168.2
CPI % Change	+ 7.26%	12.2 / 168.2 × 100
Deadband Check (3.0%)	Exceeded	7.26% > 3.0% → adjustment applies
Annual Cap Check (8.0%)	Within cap	7.26% < 8.0% → full adjustment allowed
Base Labour Rate (L_0)	₹1,074.08/MT	Per Schedule A
Adjusted Labour Rate	₹1,074.08 × (180.4/168.2)	= ₹1,074.08 × 1.0726 = ₹1,152.07/MT
Labour Rate Increase	+ ₹77.99/MT	₹1,152.07 − ₹1,074.08
Annual Labour Cost Increase	+ ₹5,03,13,600	₹77.99 × 45,000 MT × 12 months

$$\text{Labour Adjustment (Annual)} = L_0 \times WL \times ((CPI\_t - CPI\_0) / CPI\_0) \times \text{Annual Volume}$$

$$= ₹1{,}074.08 \times 0.40 \times (12.2 / 168.2) \times 5{,}40{,}000 \text{ MT}$$

$$= ₹1{,}074.08 \times 0.40 \times 0.07254 \times 5{,}40{,}000$$

$$= ₹2{,}01{,}32{,}035 \quad \text{[Annual Labour Escalation at Year 2 Review]}$$

7.8 FUEL ESCALATION — COMPREHENSIVE MECHANISM

7.8.1 Why Fuel is Treated Separately from Other Indices

Diesel / High Speed Diesel (HSD) constitutes 25% of the Contract Price and is the most volatile cost component, subject to monthly revisions by Indian Oil Corporation (IOCL) and other Oil Marketing Companies (OMCs) based on global crude oil prices, refinery margins, government taxes, and foreign exchange rates. Unlike labour (annual revision) or equipment (semi-annual), HSD prices can move significantly within a single month, making monthly pass-through essential to prevent the Service Provider from absorbing disproportionate fuel cost risk. The Diesel Price Index (DPI) is therefore reviewed and adjusted monthly, independently of all other indices.

7.8.2 Fuel Escalation Formula — Full Specification

$$\text{Fuel Adjustment (₹/MT)} = F_0 \times WF \times \text{MIN}[(DPI\_t - DPI\_0) / DPI\_0, \text{ Annual Cap of } 10\%]$$

```
Where:
F₀  = Base fuel rate = ₹671.30/MT (25% of ₹2,685.20/MT)
WF  = Fuel weightage = 0.25
DPI_0 = Base HSD price = ₹89.62/litre (IOCL Tolichowki, 1 April 2024)
DPI_t = Current HSD price at IOCL outlet, 1st of each Review Month
Annual Cap = 10% maximum increase or 5% maximum decrease per Contract Year
```

The Adjusted Fuel Rate per MT is calculated as:

```
Adjusted Fuel Rate = F₀ × (DPI_t / DPI_0)  [subject to Annual Cap]
Full Adjusted Contract Rate contribution: AR_fuel = F₀ × (DPI_t / DPI_0)
```

7.8.3 HSD Price Reference and Verification

The HSD price used for each monthly revision shall be:

(a) The published retail selling price (excluding service charges) for High Speed Diesel at the Indian Oil Corporation outlet nearest to the KBC Steel plant at Tolichowki, Hyderabad, as published on the IOCL website (www.iocl.com) on the 1st calendar day of each month;

(b) If the IOCL outlet price is unavailable on the 1st, the price of the nearest preceding business day shall apply;

(c) In the event of a dispute on the reference price, the average of three OMC prices (IOCL, BPCL, HPCL) at the nearest outlets shall be used;

(d) Any state-specific tax surcharges, octroi, or local levies on HSD are included in the DPI_t as they represent actual cost to the Service Provider.

7.8.4 Worked Example A — Standard Monthly Fuel Revision (October 2024)

Scenario: HSD price increases from ₹89.62/litre (Base) to ₹96.48/litre

Parameter	Value	Calculation
Base Diesel Price (DPI_0)	₹89.62/litre	Fixed at 1 April 2024
Current HSD Price (DPI_t)	₹96.48/litre	IOCL Tolichowki, 1 Oct 2024
Price Increase	+₹6.86/litre	₹96.48 − ₹89.62
% Diesel Price Change	+7.65%	₹6.86 / ₹89.62 × 100
Deadband Check (3.0%)	Exceeded	7.65% > 3.0% → adjustment applies
Annual Cap Check (10.0%)	Within cap	7.65% < 10.0% → full adjustment
Monthly HSD Consumption	~65,000 litres	At 45,000 MT throughput
Additional Monthly Fuel Cost	₹4,45,900	65,000 × ₹6.86
Base Fuel Rate (F_0)	₹671.30/MT	Per Schedule A
Adjusted Fuel Rate	₹671.30 × (96.48/89.62)	= ₹671.30 × 1.0765 = ₹722.63/MT
Fuel Rate Increase per MT	+₹51.33/MT	₹722.63 − ₹671.30
Monthly Invoice Fuel Adjustment	+₹23,09,850	₹51.33 × 45,000 MT
Annualised Impact (if sustained)	₹2,77,18,200/year	₹23,09,850 × 12

$$\text{Fuel Adjustment (Monthly Invoice Impact)} = F_0 \times WF \times \Delta DPI\% \times \text{Monthly Volume}$$

$$= ₹671.30 \times 0.25 \times 0.0765 \times 45{,}000 \text{ MT} = ₹57{,}78{,}743 \text{ annualised}$$

7.8.5 Worked Example B — Capped Fuel Revision (Crude Oil Spike, February 2026)

Scenario: HSD surges to ₹109.80/L — annual cap of 10% applies

Parameter	Value	Calculation
DPI_0 (Base, April 2024)	₹89.62/litre	Contract base
DPI at last October 2025 revision	₹96.48/litre	Previous adjusted price
DPI_t (February 2026)	₹109.80/litre	IOCL price after crude spike
Cumulative change from Base	+22.5%	(109.80−89.62)/89.62
Annual Cap (Year 2, from Oct 2025 base)	10% from ₹96.48 = max ₹106.13/L	Cap calculation: ₹96.48 × 1.10
Effective DPI_t (capped)	₹106.13/litre	Capped at 10% above previous review
Uncapped Fuel Rate	₹671.30 × (109.80/89.62) = ₹823.27/MT	Without cap — not payable
Capped Adjusted Fuel Rate	₹671.30 × (106.13/89.62) = ₹795.70/MT	Capped — payable
Client Saving from Cap	₹27.57/MT	₹823.27 − ₹795.70
Monthly Client Protection	+₹12,40,650/month	₹27.57 × 45,000 MT — cap saves Client this amount

Note: This example illustrates the critical importance of the Annual Cap: without it, a crude oil spike would have added ₹1,49,00,000 additional annual cost to the Client. The 10% cap limits the maximum annual fuel exposure to ₹74,43,360.

7.8.6 Fuel Deflation — Downward Adjustment

The Fuel Escalation Mechanism works symmetrically. When HSD prices fall, the Client benefits from a reduced Adjusted Rate, subject to the Annual Deflation Floor of 5%:

$$\text{Downward Fuel Adjustment} = F_0 \times WF \times \text{MIN}[(DPI\_0 - DPI\_t)/DPI\_0,\ 5\% \text{ Floor}]$$

$$\text{Example: HSD falls from ₹89.62 (Base) to ₹81.40 (Month 8):}$$

$$\% \text{ Fall} = (89.62 - 81.40)/89.62 = 9.17\% \text{ — exceeds 5\% floor}$$

$$\text{Capped downward adjustment} = ₹671.30 \times 0.25 \times 5.0\% = ₹8.39/\text{MT reduction}$$

$$\text{Monthly Invoice Saving} = ₹8.39 \times 45{,}000 = ₹3{,}77{,}550/\text{month}$$

Note: The 5% deflation floor protects the Service Provider's minimum fuel cost recovery, acknowledging that some fuel-related fixed costs (equipment fuel systems, storage infrastructure) are not eliminated even when market prices fall.

7.8.7 Annual Fuel Cost Sensitivity Matrix

HSD Price Scenario	DPI_t (₹/L)	% Change from Base	Fuel Rate Adjustment	Monthly Invoice Impact	Annu
Strong deflation (floor applied)	₹85.14	−5.0% (floor)	−₹8.39/MT	−₹3,77,550	−₹45,
Mild deflation	₹87.00	−2.9% (within deadband)	₹0 (deadband)	Nil	Nil
Base (no change)	₹89.62	0%	Nil	Nil	Nil
Mild increase (within deadband)	₹91.00	+1.5% (within deadband)	₹0 (deadband)	Nil	Nil
Moderate increase	₹96.48	+7.65%	+₹51.33/MT	+₹23,09,850	+₹2,7
High increase (near cap)	₹98.50	+9.9%	+₹66.41/MT	+₹29,88,450	+₹3,5
Extreme spike (cap applied)	₹109.80	+10% cap applied	+₹67.13/MT (capped)	+₹30,20,850 (capped)	+₹3,6

7.9 Worked Example – WPI Impact on Equipment and Consumables

Scenario: WPI (All Commodities) increases from 160.5 (Base, Jan 2024) to 174.2 (Annual Review, Oct 2025)

Parameter	Value	Calculation
Base WPI (WPI_0)	160.5	Fixed at January 2024
Current WPI (WPI_t)	174.2	OEA publication, August 2025
WPI Change	+ 13.7 points	174.2 − 160.5
WPI % Change	+ 8.54%	13.7 / 160.5 × 100
Deadband Check (3.0%)	Exceeded	8.54% > 3.0% → adjustment triggered
Annual Cap Check (Equipment 6%)	EXCEEDED	8.54% > 6.0% → CAPPED at 6.0%
Equipment Adjustment (capped)	₹537.04 × 0.20 × 6.0%	= ₹537.04 × 0.20 × 0.06 = ₹6.44/MT
Consumables WPI Adjustment	₹134.26 × 0.05 × 7.0% (cap)	= ₹0.47/MT (cap applied at 7%)
Combined Equipment + Consumables Adj.	+ ₹6.91/MT	Monthly impact: +₹3,10,950 at 45,000 MT
Annual Equipment Cost Increase (capped)	+ ₹37,31,400	₹6.91 × 45,000 MT × 12 months

$$
\begin{aligned}
\text{Equipment Adjustment} &= E_0 \times WE \times \text{MIN}[(EI\_t - EI\_0)/EI\_0,\ \text{Annual Cap}] \\
&= ₹537.04 \times 0.20 \times \text{MIN}[8.54\%,\ 6.0\%] \\
&= ₹537.04 \times 0.20 \times 0.06 = ₹6.44/MT
\end{aligned}
$$

WPI Impact on Contract Cost Components:

Cost Category	WPI Component	WPI Impact Direction	Adjustment Cap	Example Impact at

				8.54% WPI rise
Labour	Partial (wages lag WPI)	Positive (cost increase)	8% annual cap	CPI-linked, not WPI-direct
Diesel	Petroleum sub-index	Positive (cost increase)	10% annual cap (diesel-specific)	Captured in DPI formula
Equipment & Spares	Engineering goods WPI	Positive (cost increase)	6% annual cap	₹6.44/MT increase
Consumables (chemicals, liners)	All-commodities WPI	Positive (cost increase)	7% annual cap	₹0.47/MT increase
Transportation (internal)	Fuel and transport WPI	Positive (cost increase)	Captured in DPI	Included in fuel formula

7.10 Composite Escalation – Three-Year Projection Scenario

Illustrative projection assuming moderate inflation (not a guarantee)

Contract Year	CPI (IW)	HSD Price (₹/L)	WPI	Est. Adjusted Rate (₹/MT)	Annual Contract Value (₹)	V
Year 1 (Base – 2024)	168.2	₹89.62	160.5	₹2,685.20	₹14,50,00,000	E
Year 2 (2025)	180.4	₹96.48	174.2	₹2,847.63	₹15,37,72,020	+
Year 3 (2026)	192.1	₹103.20	185.8	₹2,997.14	₹16,18,45,560	+
3-Year Total					**₹46,06,17,580**	**+**

Note: The above projection is illustrative only and is not a contractual commitment by either Party. Actual adjustments will be computed from published indices at each Review Date. The 3-year aggregate of ₹46.06 crores reflects the estimated total outflow to the Client on current assumptions.

7.11 Price Adjustment Notice Procedure

Not later than fifteen (15) days before each Review Date, the Service Provider shall submit to the Client a written Price Adjustment Notice ("PAN") in the format specified in Schedule G (Price Escalation Examples), setting out:

- **(a)** The calculation of the Adjusted Rate using the formula in Clause 7.2;
- **(b)** Source publications, index values, reference months, and URL or document references for all indices used;
- **(c)** Deadband computation with before/after comparison;
- **(d)** Annual Cap/Floor compliance confirmation per 7.6;
- **(e)** The proposed new Adjusted Rate, effective from the Review Date;
- **(f)** Impact on Monthly Invoice for the upcoming period.

The Client shall review the PAN within ten (10) Business Days. Absence of dispute within this period constitutes acceptance. If disputed, the prevailing rate continues pending resolution per Clause 28.

7.12 Index Discontinuation Mechanism

If any referenced index is discontinued, substantially altered in methodology, or ceases publication, the Parties shall within sixty (60) days negotiate a replacement index in good faith. If not agreed within sixty (60) days, an independent expert (mutually agreed, or nominated by the President of ICAI within fifteen (15) days of failure to agree) shall determine the replacement. The expert's determination is final and binding, with costs shared equally.

7.13 Change in Law Adjustment

Where a Change in Law results in a direct, demonstrable, and material increase or decrease in the Service Provider's cost of performing the Services (including new statutory levies on diesel, mandatory minimum wage revisions beyond the CPI formula, or new environmental compliance requirements), the Contract Price shall be adjusted by the net quantified financial impact as mutually agreed in writing, or as determined by the dispute resolution process if not agreed within forty-five (45) days. The Service Provider shall submit supporting documentation evidencing the cost impact within thirty (30) days of the Change in Law.

Examples of qualifying Change in Law events include:

- Imposition of a new Clean Energy Cess or Carbon Tax on HSD consumption;
- Telangana State Government revision of minimum wages for Industrial Establishment workers beyond levels captured by the CPI formula;
- New mandatory requirement under the Hazardous Waste Rules imposing additional disposal obligations on the Service Provider's processing activities;
- Introduction of a new Goods and Services Tax treatment affecting the Service Provider's input costs.

7.14 Extraordinary Inflation Adjustment

In the event that the cumulative weighted average escalation of all indices (computed using the weightages in Schedule A) exceeds fifteen percent (15%) in any single Contract Year, the Service Provider may invoke an Extraordinary Inflation Review by written notice. The Parties shall within thirty (30) days of such notice conduct an open-book cost review and negotiate in good faith an adjusted rate, it being the intent of both Parties that the Service Provider's real profit margin shall not be materially eroded by extraordinary inflationary events. If agreement is not reached within sixty (60) days of the notice, either Party may refer the matter to expert determination per Clause 7.12.

7A. EXPANDED MECHANISM — GOVERNMENT WPI AND CPI PASS-THROUGH ON PRICE HIKES

7A.1 Rationale for Direct Government Index Linkage

In addition to the composite Adjusted Rate formula in Clause 7.2, the Parties record that two specific Government of India statistical series — the Wholesale Price Index (WPI) published by the Office of the Economic Adviser, Ministry of Commerce and Industry, and the Consumer Price Index for Industrial Workers (CPI-IW) published by the Labour Bureau, Ministry of Labour and Employment — operate as the two primary macroeconomic triggers for any Contract Price hike. This Clause 7A sets out, independently of Clause 7.2, the specific pass-through formulas that apply whenever either index moves, and illustrates the mechanical effect of a government-notified price hike on the Monthly Invoice.

7A.2 WPI-Linked Pass-Through Formula

Whenever the Office of the Economic Adviser notifies a revised WPI (All Commodities) figure, or a revised WPI sub-index for Fuel & Power, Manufactured Products, or Primary Articles, the following formula determines the WPI-Linked Adjustment applicable to the Equipment and Consumables components of the Contract Price:

$$\text{WPI-Linked Adjustment (₹/MT)} = (E_0 \times WE + K_0 \times WK) \times \text{MIN}[\ (WPI\_t - WPI\_0) / WPI\_0\ ,\ \text{Applicable Cap}\ ]$$

Where WPI_t is the WPI figure for the relevant Review Month as notified by the Government of India, and WPI_0 is the Base WPI of 160.5 (January 2024). The Applicable Cap is 6.0% for the Equipment sub-component and 7.0% for the Consumables sub-component, applied proportionately to each sub-component's own base rate rather than to the combined figure, per Clause 7.6.

Disaggregated WPI Sub-Index Formula: Where the Government publishes a commodity-specific WPI sub-index more directly relevant to a cost driver (for example, the WPI for 'Iron and Steel' or the WPI for 'Fuel and Power'), the Service Provider may elect, by written notice, to substitute such sub-index for the WPI (All Commodities) headline figure for the purposes of computing the relevant component adjustment, provided the same sub-index is then used consistently for the remainder of the Term unless both Parties agree otherwise in writing.

7A.3 CPI-Linked Pass-Through Formula

Whenever the Labour Bureau notifies a revised CPI-IW (Combined) figure for any month, the following formula determines the CPI-Linked Adjustment applicable to the Labour component of the Contract Price:

$$\text{CPI-Linked Adjustment (₹/MT)} = L_0 \times WL \times \text{MIN}[\ (CPI\_t - CPI\_0) / CPI\_0\ ,\ \text{Annual Labour Cap of } 8.0\%\ ]$$

Where CPI_t is the CPI-IW (Combined) figure for the relevant Review Month, and CPI_0 is the Base CPI of 168.2 (January 2024). Where the Government separately notifies a revised Variable Dearness Allowance (VDA) for the State of Karnataka linked to CPI-IW movement, and such VDA revision results in a statutorily mandated wage increase distinct from the general CPI trend (for example, a sudden VDA revision following a high-inflation quarter), the Service Provider may claim the incremental impact either under this Clause 7A.3 (if within the Annual Labour Cap) or, where the increase exceeds the Annual Labour Cap, as a Change in Law claim under Clause 7.13.

7A.4 Combined Government-Index Formula (Full Pass-Through)

For ease of reference, the combined effect of a simultaneous WPI and CPI movement on the Contract Price (excluding the separately governed Diesel Price Index movements under Clause 7.2) is expressed as:

$$\text{Total Govt.-Index Adjustment (₹/MT)} = \text{CPI-Linked Adjustment} + \text{WPI-Linked Adjustment}$$
$$= [L_0 \times WL \times \text{MIN}(\Delta CPI\%,\ 8\%)] + [(E_0 \times WE + K_0 \times WK) \times \text{MIN}(\Delta WPI\%,\ 6\text{–}7\%)]$$

This Total Government-Index Adjustment, when added to the Fuel Adjustment computed separately under Clause 7.2 using the Diesel Price Index, and the Fixed Base Rate, together constitute the complete Adjusted Rate under Clause 7.2.

7A.5 Worked Example A — Effect of a Government WPI Price Hike Notification

Scenario: On 14 September 2025, the Office of the Economic Adviser notifies the WPI (All Commodities) figure for August 2025 at 174.2, up from the Base WPI of 160.5 (a government-confirmed price hike of 8.54%). The Service Provider issues a Price Adjustment Notice on 20 September 2025 ahead of the 1 October 2025 Review Date.

Step	Computation	Result
1. WPI % movement	(174.2 − 160.5) / 160.5 × 100	+ 8.54%
2. Deadband test (3.0%)	8.54% > 3.0%	Adjustment triggered
3. Equipment cap test (6.0%)	8.54% > 6.0%	Capped at 6.0%
4. Consumables cap test (7.0%)	8.54% > 7.0%	Capped at 7.0%
5. Equipment adjustment	₹537.04 × 6.0%	+ ₹32.22/MT
6. Consumables adjustment	₹134.26 × 7.0%	+ ₹9.40/MT
7. Total WPI-Linked Adjustment	₹32.22 + ₹9.40	+ ₹41.62/MT
8. Monthly impact at 45,000 MT	₹41.62 × 45,000	+ ₹18,72,900/month
9. Annual impact (12 months)	₹18,72,900 × 12	+ ₹2,24,74,800/year

Note: Although the headline WPI hike of 8.54% would, uncapped, imply a larger increase, the Annual Escalation Caps in Clause 7.6 limit the Client's exposure to a maximum of 6.0% (Equipment) and 7.0% (Consumables) respectively in any single Contract Year, regardless of the magnitude of the underlying government index movement.

7A.6 Worked Example B — Effect of a Government CPI Price Hike Notification

Scenario: On 31 March 2026, the Labour Bureau notifies the CPI-IW (Combined) figure for February 2026 at 186.9, up from the Base CPI of 168.2 (a cumulative increase of 11.12% since the Commencement Date). This is the Year 3 annual labour review.

Step	Computation	Result
1. CPI % movement since base	(186.9 − 168.2) / 168.2 × 100	+ 11.12%
2. Deadband test (3.0%)	11.12% > 3.0%	Adjustment triggered
3. Annual Labour Cap test (8.0% per year, cumulative basis)	11.12% > 8.0%	Capped at 8.0% for the relevant Contract Year
4. Labour adjustment (capped)	₹1,074.08 × 8.0%	+ ₹85.93/MT
5. Monthly invoice impact at 45,000 MT	₹85.93 × 45,000	+ ₹38,66,850/month
6. Annual impact (12 months)	₹38,66,850 × 12	+ ₹4,64,02,200/year

7. Uncapped (hypothetical) impact for comparison	₹1,074.08 × 11.12%	+ ₹119.44/MT (not payable — illustrative only)
8. Amount foregone by Service Provider due to cap	₹119.44 − ₹85.93 = ₹33.51/MT	− ₹1,80,89,400/year (cap protects Client)

7A.7 Worked Example C — Cascading Effect of a Simultaneous WPI and CPI Hike on the Monthly Invoice

Scenario: Both the WPI hike in Example 7A.5 and the CPI hike in Example 7A.6 are reflected together in the October 2026 Monthly Invoice (illustrating the cumulative, cascading effect of two government index notifications occurring within the same Contract Year, layered on top of the previously adjusted rate from Contract Year 2).

Price Build-Up Step	Rate Component (₹/MT)	Running Total (₹/MT)
Contract Year 1 Base Rate	—	₹2,685.20
Add: CPI-Linked Labour Adjustment (Example 7A.6, capped)	+ ₹85.93	₹2,771.13
Add: WPI-Linked Equipment Adjustment (Example 7A.5)	+ ₹32.22	₹2,803.35
Add: WPI-Linked Consumables Adjustment (Example 7A.5)	+ ₹9.40	₹2,812.75
Add: Diesel/Fuel Adjustment (per Clause 7.2, separately notified)	+ ₹51.35	₹2,864.10
Fixed Base Rate (unchanged throughout)	No change	Included in all above
FINAL ADJUSTED RATE (October 2026 Monthly Invoice)		**₹2,864.10/MT**
Net increase over 3-Year Base Rate		**+ ₹178.90/MT (+ 6.66%)**
Monthly Invoice value at 45,000 MT (ex-GST)		**₹12,88,84,500**
Annual Contract Value impact		**₹15,46,61,400 (vs. ₹14,50,00,800 base)**

Note: This cascading example demonstrates that government WPI and CPI hikes are applied to their respective cost components independently and cumulatively, each subject to its own Deadband and Annual Cap, with the Diesel Price Index adjustment computed and applied separately and, where relevant, more frequently (monthly) under Clause 7.5.

7A.8 Typical Formula Set Activated Upon a Government Price Hike Notification — Quick Reference

Triggering Government Notification	Formula Activated	Cap Applicable	Component Affected
WPI (All Commodities) monthly/semi-annual release	E_0 ×WE×MIN(ΔWPI%,6%) + K_0 ×WK×MIN(ΔWPI%,7%)	6% (Equipment) / 7% (Consumables)	Equipment & Spares; Consumables & Overheads

CPI-IW (Combined) monthly release	$L_0 \times WL \times MIN(\Delta CPI\%, 8\%)$	8% (Labour)	Labour Component
IOCL / Petroleum Ministry HSD price revision	$F_0 \times WF \times MIN(\Delta DPI\%, 10\%)$	10% (Fuel)	Fuel / Diesel Component
WPI Engineering Goods sub-index (machinery-specific)	$E_0 \times WE \times MIN(\Delta EI\%, 6\%)$ [substitutes headline WPI for Equipment only]	6% (Equipment)	Equipment & Spares (if elected per Cl. 7A.2)
State Government Minimum Wage / VDA notification	Change in Law claim if excess over CPI Cap (Cl. 7.13); otherwise absorbed in CPI formula	No cap on CiL claims (subject to dispute resolution)	Labour Component (excess only)
New Cess, GST rate change, or environmental levy	Change in Law claim (Cl. 7.13 / Cl. 8.3)	No cap (subject to dispute resolution)	Any component directly affected

8. TAXES AND STATUTORY LEVIES

8.1 The Contract Price (INR 2,685.20 per MT) is exclusive of all taxes, duties, levies, cesses, and other fiscal impositions. GST at 18% shall be charged additionally. As at the Effective Date, the applicable GST treatment is IGST (the Service Provider being registered in Haryana and services rendered in Karnataka).

8.2 The Service Provider shall deposit EPF contributions (employer: 12%, employee: 12% = 24% of basic wages) and ESI contributions (employer: 3.25%, employee: 0.75% = 4.00% of gross wages) for all 148 deployed employees, and shall furnish monthly ECR (Electronic Challan cum Return) confirmations to the Client by the 25th of each month.

8.3 TDS shall be deducted by the Client at 2% under Section 194C of the Income Tax Act, 1961 (as amended). The Client shall issue quarterly TDS certificates (Form 16A) within fifteen (15) days of the end of each quarter.

9. PERFORMANCE SECURITY

9.1 The Service Provider delivered an unconditional, irrevocable bank guarantee (Bank Guarantee No. HDFC/BG/2024/ENV/00217 issued by HDFC Bank Limited, Hyderabad Branch) for INR 1,45,00,000 (10% of Annual Contract Value of INR 14,50,00,000) on 10 April 2024. The Bank Guarantee is valid until 31 October 2027 (six months beyond the Contract expiry of 30 April 2027).

9.2 The Performance Security shall be automatically extended upon each renewal of the Agreement. Failure to deliver a renewal bank guarantee at least thirty (30) days prior to expiry shall entitle the Client to draw upon the existing guarantee and hold proceeds in escrow.

9.3 The Client may encash the Performance Security upon seven (7) Business Days' prior written notice in the following circumstances: (a) material breach unremedied after cure period; (b) quantified Client loss attributable to Service Provider default; (c) non-payment of statutory dues causing third-party proceedings against the Client.

9.4 The Service Provider shall restore the Performance Security to full value (INR 1,45,00,000) within ten (10) Business Days of any partial encashment.

9.5 The Performance Security shall be released within thirty (30) days of: (a) Contract expiry and completion of Demobilisation; (b) final settlement of all accounts; and (c) no outstanding disputes.

10. PERSONNEL

10.1 The Service Provider shall deploy a minimum of 148 employees across three (3) rotating shifts of eight (8) hours each, with a minimum of 46 employees per shift on the slag operations plus supervisory and support staff, as detailed in Schedule C (Manpower Deployment).

10.2 Key Personnel (Site Manager, Operations Superintendent per shift, and Safety Officer) are dedicated to this Agreement and shall not be deployed elsewhere without Client's prior written consent. Replacement of Key Personnel requires thirty (30) days' notice and Client's approval.

10.3 The Service Provider is the employer of all 148 deployed personnel and bears full liability as employer under the Contract Labour (Regulation and Abolition) Act, 1970, the Minimum Wages Act, 1948 (applicable minimum wage: INR 612.00 per day for semi-skilled workers in Karnataka as at 1 April 2024), the Payment of Wages Act, 1936, the EPF Act, 1952, the ESI Act, 1948, the Payment of Gratuity Act, 1972, and the Workmen's Compensation Act, 1923.

10.4 The Service Provider shall conduct competency assessments for all equipment operators prior to deployment. Operators of pot carrier vehicles (>20 MT capacity) shall hold HMV driving licences valid under the Motor Vehicles Act, 1988. All operators handling liquid slag shall complete a forty (40)-hour internal training programme and be certified by the Site Manager prior to live deployment.

11. EQUIPMENT AND ASSET MANAGEMENT

11.1 The Service Provider shall deploy all equipment listed in Schedule B (Equipment List) prior to the Commencement Date. The minimum overall equipment availability shall not fall below 87% of scheduled operating hours on a rolling monthly basis. As at the Commencement Date, equipment deployment comprised twelve (12) heavy units and fourteen (14) ancillary units.

11.2 The Service Provider shall submit to the Client quarterly Computerised Maintenance Management System (CMMS) reports (SAP PM Module format) evidencing planned maintenance schedules, breakdown incidents, mean time to repair (MTTR), and equipment utilisation rates.

11.3 Standby/backup equipment for critical operations (pot carriers: 2 standby; primary crusher: 1 standby) shall be deployed and available at the Site within four (4) hours of any breakdown of primary equipment.

11.4 Annual third-party inspection certificates (from CEIL, EIL, or equivalent) shall be obtained for all heavy equipment and submitted to the Client by 30 April of each Contract Year.

12. SUBCONTRACTING

12.1 The Service Provider shall not subcontract any part of the Services without the prior written consent of the Client (not to be unreasonably withheld). As at the Effective Date, the following subcontractors have been approved:

- M/s Hyderabad Earthmovers Pvt. Ltd. (Additional excavation support during peak periods)
- M/s Karnataka Industrial Electricals (Electrical maintenance of magnetic separators)

12.2 Approved subcontracting does not relieve the Service Provider of primary liability. The Service Provider shall ensure all Subcontractors comply with Section 20 obligations (statutory compliance for sub-contract labour). Any breach by a Subcontractor is treated as a breach by the Service Provider.

13. HEALTH, SAFETY, AND EMERGENCY PROCEDURES

13.1 The Service Provider shall implement and maintain an HSE Management System conforming to ISO 45001:2018 at the Site. The Site-Specific Safety Plan (Document ENV/KBC/SSSP/001, dated 10 April 2024) has been approved by the Client's Safety Department.

13.2 Key HSE metrics and obligations:

HSE Metric	Contractual Target	Consequence of Breach
Fatal Accident Rate	Zero fatalities over the Term	Immediate operations suspension; investigation; INR 25,00,000 penalty per incident
Lost Time Injury (LTI) Frequency Rate	≤ 0.50 per 100,000 man-hours	Performance Default if > 0.75 in any quarter
Near-Miss Reporting Rate	100% of near-misses reported within 24 hrs	INR 10,000 per unreported near-miss
Safety Toolbox Talks	Daily, 100% attendance per shift	INR 5,000 per missed talk (audit verified)
PPE Compliance Audit Score	≥ 95% compliance on random audits	INR 2,000 per non-compliant individual observed
Fire Extinguisher Maintenance	Monthly check; annual certificate	Stop-work notice if non-compliant
MSDS Availability	For all chemicals in use, on-site	INR 15,000 per missing MSDS

13.3 Emergency Shutdown Procedures: In any emergency (uncontrolled molten metal spill, structural failure, fire), the Service Provider shall: (a) immediately activate Site Emergency Response Plan (ENV/KBC/ERP/001); (b) evacuate all personnel from the danger zone within three (3) minutes; (c) notify JSW's Site Safety Officer (Duty Phone: +91-99XXXXXXXX) within five (5) minutes; (d) isolate all energised equipment within the affected zone; (e) not resume operations without Client's written all-clear. Emergency downtime is excluded from KPI measurement.

13.4 Fatality Protocol: In the event of a fatality, all slag operations shall be immediately suspended. Resumption requires: (a) Statutory investigation completion; (b) Written approval from Client; (c) Clearance from Telangana Factory Inspectorate; (d) Implementation of CAPA (Corrective Action/Preventive Action) plan. The Service Provider shall bear all compensation, regulatory penalties, and legal costs arising from fatalities attributable to its own negligence.

14. ENVIRONMENTAL COMPLIANCE

14.1 The Service Provider shall maintain all dust-generating operations (crushing, screening, material transfer) within the ambient dust concentration limits of ≤ 150 μg/m³ (PM10) and ≤ 75 μg/m³ (PM2.5) in accordance with the Environment (Protection) Amendment Rules, 2009, and the TSPCB consent conditions applicable to the Service Provider's processing activities.

14.2 Dust suppression shall be maintained by: (a) Two (2) water tanker dust suppressors (10,000 litres each) operating on a circuit covering all crushing and material handling areas; (b) Water sprinklers at all transfer points; (c) Windshields of 3.0 metre height on the windward side of all active slag processing areas.

14.3 Monthly Environmental Compliance Reports shall be submitted to the Client Representative by the 10th of each month, covering: (a) dust monitoring data; (b) noise level readings at Site boundary; (c) hazardous waste manifest register; (d) water consumption log; (e) diesel storage and spill log.

15. INSURANCE

The Service Provider maintains the following insurance coverage, all naming KBC Steel Limited as Additional Insured:

Policy Type	Insurer	Policy Number	Coverage Limit	Expir
Workmen's Compensation / EL	New India Assurance Co.	NIA/WC/2024/ENV/00891	As per WC Act + ₹10 lakhs per person	30 Ap 2025 (rene
Comprehensive General Liability	HDFC Ergo	HDFC/CGL/2024/0XY/11234	₹25,00,00,000 per occurrence / ₹50,00,00,000 annual aggregate	30 Ap 2025
Equipment All-Risk (EAR)	Bajaj Allianz	BA/EAR/2024/ENV/5678	Full replacement value of all deployed equipment (est. ₹18,00,00,000)	30 Ap 2025
Motor Third-Party Liability	ICICI Lombard	ICICI/MTP/2024/ENV/2345	As per MV Act, 1988	30 Ap 2025
Professional Indemnity	Oriental Insurance	OI/PI/2024/ENV/0456	₹5,00,00,000 per claim / ₹10,00,00,000 annual aggregate	30 Ap 2025

16. PERMITS AND LICENCES

16.1 The following licences and permits have been obtained by the Service Provider as at the Commencement Date:

Permit / Licence	Issuing Authority	Reference Number	Valid Until
Contract Labour Registration	Assistant Labour Commissioner, Hyderabad	TS-HYD-CL-2024-0047	30 April 2025
Consent to Operate (Air & Water)	TSPCB	TSPCB/HYD/CTO/2024/112	31 March 2025
Factory Registration (as subcontractor)	Dept of Factories, Karnataka	TS/HYD/FACT/2024/SP/089	30 April 2027
HSD Storage Licence (1,000 litre tank)	Petroleum & Explosives Safety Organisation	PESO/TS/2024/ENV/0012	30 April 2025
Hazardous Waste Transporter Licence	TSPCB	TSPCB/HYD/HWT/2024/ENV/003	31 March 2025
Principal Employer Certificate (CLRA)	Assistant Labour Commissioner, Hyderabad	TS/PE/2024/0089	Per annual renewal

17. DEMURRAGE

17.1 Demurrage rates applicable where Client-caused delays idle the Service Provider's resources:

Resource Category	Demurrage Rate	Allowable Free Waiting Time	Basis of Claim

Pot Carrier Vehicle (per vehicle)	₹6,500 per hour	30 minutes per cycle	Daily trip log, countersigned by Client Rep
Slag Skimmer Unit (per unit)	₹4,200 per hour	15 minutes per cycle	Shift log + timestamp
Crane / Excavator (per unit)	₹5,800 per hour	20 minutes per call	Operator log
Crusher Plant (per plant)	₹9,500 per hour	45 minutes per scheduled run	CMMS downtime log
Manpower (per team of 10)	₹8,500 per hour	30 minutes per occurrence	Attendance + shift log

17.2 Pot Carrier Demurrage Example: During the week of 15–21 July 2024, Client crane breakdowns caused four (4) pot carrier vehicles to wait an average of 65 minutes each on three (3) separate occasions. Chargeable waiting time = 65 − 30 = 35 minutes × 4 vehicles × 3 occurrences = 420 vehicle-minutes = 7 vehicle-hours. Demurrage = 7 × ₹6,500 = ₹45,500, invoiced in the July 2024 Monthly Invoice.

18. CLIENT DEPENDENCIES AND OBLIGATIONS

18.1 The following minimum Client dependencies are required for the Service Provider's performance:

Dependency	Specification	Notice Required	Consequence of Failure
Cooling water supply to slag pits	Min 200 m³/hr at 2.5 bar, 24/7	Interruption > 30 min: immediate notice	Idle Compensation triggered after 2 hrs
Electrical power to SP equipment	415V, 3-phase, 50Hz, min 800 kVA at 6 designated DBs	Planned: 48 hrs; Unplanned: immediate	Idle Compensation after 2 hrs (unplanned) / no comp (planned >48 hrs notice)
Client crane for pot movements	Available within 30 min of SP request	Per shift schedule	Demurrage per Clause 17 after 30 min
Access to operational areas	Unobstructed during all 3 shifts	30 days for planned modifications	Idle Compensation for restricted periods > 2 hrs
Furnace tapping schedule	Weekly schedule by Friday 17:00 for following week	Minimum weekly	Idle Compensation for unscheduled stoppages > 4 hrs

19. SUSPENSION OF SERVICES

19.1 Client Suspension: Client may suspend Services in whole or part on not less than 7 days' written notice. During suspension, Client pays: (a) all unpaid amounts to suspension date; (b) Idle Compensation at rates in Clause 22; (c) reasonable resumption costs.

19.2 Service Provider Suspension: The Service Provider may suspend Services (after 30 days' written notice of non-payment) where the Client has failed to pay two (2) or more consecutive undisputed Monthly Invoices. As at the Effective Date, no suspension has occurred.

20. FORCE MAJEURE

20.1 Definition and Qualifying Events

A Force Majeure Event means any event or circumstance beyond the reasonable control of the affected Party that prevents or delays performance of obligations under this Agreement, provided such event could not have been foreseen, avoided, or overcome through reasonable diligence. Qualifying events include:

(a) Natural Catastrophes: Acts of God including earthquake, flood, cyclone, hurricane, lightning, volcanic eruption, tsunami, or landslide of exceptional severity affecting the Site or supply chains critical to performance;

(b) Armed Conflict and Civil Unrest: War (whether declared or undeclared), invasion, armed conflict, terrorism, sabotage, insurrection, revolution, military coup, or civil commotion of a scale that prevents safe site operations;

(c) Government and Regulatory Action: Lawful government orders, embargoes, sanctions, requisitioning of equipment, or regulatory directives that directly prevent performance — provided these do not arise from the affected Party's own non-compliance;

(d) Pandemic and Epidemic: Epidemic or pandemic declared by the Government of India or the World Health Organisation, or State Government directives mandating closure of industrial operations;

(e) Nationwide Industrial Action: General or nationwide strikes, lockouts, or work stoppages not involving or instigated by either Party directly.

20.2 Express Exclusions from Force Majeure

The following events expressly do NOT constitute Force Majeure for the purposes of this Agreement:

- Fuel or diesel price escalation — governed exclusively by the Clause 7 Escalation Mechanism;
- Ordinary equipment breakdown, wear and tear, or routine mechanical failure;
- Shortage of labour due to normal market conditions or the affected Party's HR policies;
- Financial difficulty, insolvency, or inability to obtain financing by either Party;
- Client's internal production rationalisation, output reduction decisions, or commercial decisions to curtail furnace operations;
- Delayed or defective performance by a subcontractor, unless the subcontractor is itself affected by a Force Majeure Event;
- Economic recession, inflation, or change in commodity prices (covered by Clause 7);
- IT or system failures that are within the affected Party's reasonable control to prevent or remediate.

20.3 Notice and Evidence Requirements

The Party claiming Force Majeure (the "Affected Party") shall:

(a) Notify the other Party in writing within five (5) Business Days of the occurrence of the Force Majeure Event (the "FM Notice");

(b) The FM Notice shall specify: (i) the precise nature and cause of the event; (ii) the specific obligations affected and extent of impact; (iii) the estimated duration; (iv) mitigation steps being taken or planned; (v) the earliest projected date of resumption;

(c) Provide supporting documentary evidence within fifteen (15) Business Days of the FM Notice — including government notifications, media reports, meteorological records, insurance assessor reports, or independent expert assessments as appropriate;

(d) Issue weekly status updates for the duration of the Force Majeure Event;

(e) Notify the other Party within forty-eight (48) hours of the cessation of the Force Majeure Event and the resumption date of affected obligations.

Failure to provide timely notification shall not extinguish the Force Majeure claim but shall limit the Affected Party's entitlement to relief from the date of actual notification only.

20.4 Obligations During Force Majeure

During a Force Majeure Event, the Affected Party shall:

- Continue to perform all obligations not directly affected by the Force Majeure Event;
- Take all commercially reasonable steps to mitigate the impact and duration of the Force Majeure Event;
- Seek alternative resources, routes, suppliers, or methods to restore performance;
- Maintain and preserve all equipment and infrastructure in a state of readiness for prompt resumption;
- Cooperate fully with the other Party on any remediation or contingency planning.

20.5 Financial Consequences During Force Majeure

During a Force Majeure Event affecting the Service Provider's ability to perform:

(a) The Client's obligation to pay the Monthly Invoice is suspended pro-rata for the volumes not processed due to Force Majeure;

(b) No Idle Compensation (Clause 22) or Demurrage (Clause 17) is payable by either Party for periods of Force Majeure;

(c) The Service Provider shall be entitled to reimbursement of documented fixed retention costs (INR 1,474.86/MT equivalent in fixed overheads) for a maximum period of thirty (30) days;

(d) Beyond thirty (30) days, no fixed retention cost is payable unless agreed in writing.

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Force Majeure Daily Fixed Cost = (Monthly Fixed Overhead) / 30 days
= (Labour Retention 70% + Equipment Retention 65%) × Daily Cost Base
Example: 148 staff × INR 1,850/day × 70% + 12 equipment × INR 38,400/day × 65%
= INR 1,91,730 + INR 2,99,520 = INR 4,91,250 / day (max 30 days payable)
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20.6 Termination Following Prolonged Force Majeure

If a Force Majeure Event continues for more than ninety (90) continuous days, either Party may terminate this Agreement by giving thirty (30) days' written notice. Upon such termination:

(a) All undisputed amounts for Services performed up to the Force Majeure Event date shall be paid within fifteen (15) Business Days;

(b) The Service Provider shall be entitled to documented and reasonable demobilisation costs (including equipment relocation, staff retrenchment statutory obligations, and third-party contract wind-down costs);

(c) No early termination compensation (Clause 30) shall be payable by either Party;

(d) The Performance Security (Clause 9) shall be released within thirty (30) days of final account settlement;

(e) If the Force Majeure Event ceases before the thirty (30) day notice period expires, the termination notice shall be deemed withdrawn and normal performance shall resume.

21. PLANNED SHUTDOWNS, MAINTENANCE EVENTS AND PRODUCTION INTERRUPTIONS

21.1 Philosophy and Classification of Shutdown Events

Shutdown and maintenance events are classified into three tiers based on their predictability and notice period, each with a distinct compensation and operational protocol. The principle underlying this Clause is that planned shutdowns which are notified in advance allow the Service Provider to deploy resources elsewhere or optimise maintenance schedules, and therefore carry reduced or no compensation entitlements; whereas unplanned interruptions impose real and immediate costs that are recoverable.

Shutdown Type	Definition	Notice Required	Idle Compensation	Volume Ir
Tier 1 – Planned Annual Shutdown	Scheduled annual maintenance: BF reline, major refractory repair, mill overhaul	Minimum 30 days; annual schedule by 15 March each year	Nil for first 10 days; full Idle Comp from Day 11	MVG appl below 36,(
Tier 2 – Short Planned Outage	Scheduled minor maintenance: tap-hole repair, crane service, conveyor belt change	Minimum 48 hours written notice	Nil (SP optimises own schedule)	MVG appl falls below
Tier 3 – Unplanned Breakdown	Sudden furnace failure, power trip, equipment collapse with no advance warning	Immediate verbal + written within 30 minutes	Full Idle Comp from Hour 2 of event	No MVG c Client-attri
Tier 4 – Force Majeure Shutdown	Natural disaster, government order, pandemic — see Clause 20	5 Business Days	Fixed cost retention only (Clause 20.5)	MVG susp duration

21.2 Annual Maintenance Shutdown Schedule

The Client shall provide the Service Provider with an Annual Maintenance Shutdown Calendar for each Contract Year no later than 15 March of the preceding Contract Year. The Calendar for Contract Year 1 (provided on 15 March 2024) includes:

Shutdown Event	Duration	Scheduled Period	Blast Furnace Impact	Slag Volume Redu
Annual Blast Furnace Reline (BF-1)	10 days	October 2024	Complete cessation BF-1	~15,000 MT reduct
Major Conveyor Maintenance	5 days	January 2025	Partial — BF-2 continues	~7,500 MT reductio
Rolling Mill Overhaul	7 days	March 2025	No BF impact — rolling only	~3,000 MT reductio
Annual EAF Refractory Repair	4 days	February 2025	EAF capacity reduced 60%	~10,800 MT reduct

For Tier 1 shutdowns: (a) No Idle Compensation payable for the first ten (10) calendar days of the shutdown; (b) From Day 11 onwards, Idle Compensation accrues at the rates in Clause 22; (c) The MVG in Clause 6.5 applies from Day 1 — the Client shall pay the fixed cost recovery rate on any volume shortfall below 36,000 MT attributable to the shutdown.

21.3 Unplanned Breakdown Protocol

21.3.1 Client Notification Obligation: Upon any unplanned breakdown causing cessation or reduction of slag generation, the Client shall notify the Service Provider's Site Manager (duty phone: +91-99XXXXXXXX) verbally within thirty (30) minutes, followed by written notification within two (2) hours specifying: (a) cause and nature of breakdown; (b) estimated duration; (c) whether partial operations can continue; (d) expected resumption time.

21.3.2 Service Provider Response Protocol: Upon receiving unplanned breakdown notification, the Service Provider shall within one (1) hour: (a) assess which resource categories are idled (Tier A: pot carriers; Tier B: crushers; Tier C: labour); (b) deploy idled resources to maintenance activities if feasible; (c) log the commencement of the idle period in the daily shift log; (d) initiate the Idle Compensation clock from Hour 2 of breakdown.

21.3.3 Idle Compensation Trigger Formula:

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Idle Clock Start = Breakdown Notification Time + 2 hours (Grace Period)
Idled Resources = Resources directly prevented from operating by the breakdown
Daily Idle Compensation = Σ (Idled Resource Units × Daily Idle Rate per Unit)
Example: BF Trip at 09:00 → Idle Clock starts at 11:00
4 pot carriers idled × INR 24,960/day + 2 excavators × INR 14,300/day
= INR 99,840 + INR 28,600 = INR 1,28,440/day from Hour 2
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21.4 Power Failure Protocol

21.4.1 Planned Power Outages: Electrical shutdowns notified at least forty-eight (48) hours in advance shall not attract Idle Compensation for the first four (4) hours. If the planned outage extends beyond the notified duration by more than two (2) hours, Idle Compensation accrues from the point of exceedance.

21.4.2 Unplanned Power Failures: Grid failures, substation trips, or Client's electrical system failures causing equipment stoppage for more than two (2) consecutive hours trigger Idle Compensation at the Clause 22 rates from the second hour.

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Power Failure Idle Compensation = Σ (Affected Equipment × Idle Rate) × Hours Beyond Grace Period
Example: 2-hour unplanned power failure, 4 crushers idled:
4 × INR 33,800/day × (2/24) = INR 11,267 (2-hour idle, 4 crushers)
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21.5 Raw Material Shortage Events

If the Client's production falls below the Minimum Volume of 36,000 MT/month due to shortage of iron ore, coking coal, scrap, or other raw materials, the following applies:

(a) The Minimum Volume Guarantee provisions of Clause 6.5 apply — the Client pays the Fixed Cost Recovery Rate on the shortfall volume;

(b) No Idle Compensation is separately payable for raw material shortages (the MVG payment is the sole remedy);

(c) The Client shall notify the Service Provider of anticipated raw material constraints at least seven (7) days in advance where foreseeable.

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Raw Material Shortage Payment = (36,000 MT − Actual Volume) × INR 1,474.86/MT
Example: Actual 28,000 MT due to iron ore shortage:
= (36,000 − 28,000) × INR 1,474.86 = INR 1,17,98,880 (MVG payment)
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22. IDLE MANPOWER AND MACHINERY COMPENSATION

22.1 Purpose and Principle

Idle Compensation is the contractual mechanism by which the Service Provider recovers its non-avoidable fixed costs during periods when its deployed resources are prevented from productive operation due to Client-attributable events (breakdowns, power failures, crane delays, access restrictions). It is not a penalty but a cost-recovery mechanism. The rates below represent the minimum fixed costs incurred by the Service Provider even when equipment or labour is standing idle — principally operator wages, equipment finance charges, insurance premia, and site fixed overheads.

Idle Compensation does NOT apply to: (a) Force Majeure Events (governed by Clause 20); (b) Planned shutdowns within the first ten days (Clause 21); (c) Periods where the Service Provider voluntarily reduces deployment; (d) Periods attributable to the Service Provider's own equipment breakdown.

22.2 Idle Compensation Rate Schedule

Resource Category	Active Daily Rate	Idle Compensation Rate	% of Active	Min Idle Threshold
Pot Carrier Vehicle (120 MT SWL)	₹38,400/day	₹24,960/day	65%	2 hours continuous idle
Primary Jaw Crusher (150 TPH)	₹52,000/day	₹33,800/day	65%	2 hours continuous idle
Impact Crusher (120 TPH)	₹44,000/day	₹28,600/day	65%	2 hours continuous idle
Excavator (45T class)	₹22,000/day	₹14,300/day	65%	2 hours continuous idle
Wheeled Pay Loader (4.5 m³)	₹16,500/day	₹10,725/day	65%	2 hours continuous idle
Skilled Operator / Foreman	₹1,850/day	₹1,295/day	70%	2 hours continuous idle

Semi-Skilled Labourer	₹1,200/day	₹840/day	70%	2 hours continuous idle
Unskilled Labourer	₹900/day	₹630/day	70%	2 hours continuous idle

22.2 Idle Compensation Calculation Example (Blast Furnace Breakdown – 12 hours):

- Resources affected: 4 pot carriers, 2 excavators, 30 labourers (10 skilled, 20 unskilled)
- Duration: 12 hours = 0.5 day (after deducting 2-hour threshold)
- Pot Carrier Idle: 4 × ₹24,960 × (10/24 day) = ₹41,600
- Excavator Idle: 2 × ₹14,300 × (10/24 day) = ₹11,917
- Skilled Operator Idle: 10 × ₹1,295 × (10/24 day) = ₹5,396
- Unskilled Labour Idle: 20 × ₹630 × (10/24 day) = ₹5,250
- Total Idle Compensation = ₹41,600 + ₹11,917 + ₹5,396 + ₹5,250 = ₹64,163

22.3 Cumulative Monthly Cap: Total Idle Compensation payable in any calendar month shall not exceed 15% of the Monthly Invoice amount. Any excess is carried forward to the following month's invoice.

23. INDEMNITIES

23.1 Service Provider Indemnity: The Service Provider indemnifies the Client against all third-party claims, losses, damages, penalties, and costs arising from: (a) bodily injury, death, or property damage caused by the negligence or wilful misconduct of the Service Provider or its personnel; (b) non-compliance with statutory obligations as employer; (c) environmental contamination caused by Service Provider's activities; (d) infringement of third-party intellectual property rights.

23.2 Client Indemnity: The Client indemnifies the Service Provider against all third-party claims arising from: (a) negligence or wilful misconduct of the Client or its personnel; (b) unsafe Site conditions attributable to the Client; (c) third-party claims in connection with the Client's commercialisation of slag or recovered metal.

24. LIMITATION OF LIABILITY

24.1 Neither Party shall be liable to the other for indirect, consequential, special, or punitive losses, including loss of profits, loss of production, or loss of business opportunity.

24.2 The aggregate liability of the Service Provider under or in connection with this Agreement in any Contract Year shall not exceed INR 14,50,00,000 (being 100% of the Annual Contract Value). The aggregate liability of the Client shall not exceed INR 29,00,00,000 (being 200% of the Annual Contract Value). These caps do not apply to: (a) death or personal injury from negligence; (b) fraud; (c) wilful misconduct; (d) unpaid Monthly Invoices.

25. CONFIDENTIALITY

25.1 Each Party shall hold in confidence all Confidential Information disclosed by the other Party, including technical data, commercial terms, process information, trade secrets, and operational data. Confidentiality obligations survive the Agreement for three (3) years post-expiry.

26. INTELLECTUAL PROPERTY

26.1 Pre-existing IP of the Service Provider (including proprietary slag processing methodologies, equipment designs, and digital management tools) remains exclusively the property of the Service Provider. The Client is granted a non-exclusive, non-transferable licence to use outputs from such methodologies solely for the Site operations. 26.2 Project IP jointly created under this Agreement is jointly owned in equal shares. 26.3 The Service Provider warrants its operations do not infringe third-party intellectual property rights.

27. AUDIT RIGHTS AND DATA PROTECTION

27.1 The Client or its auditor may audit, upon five (5) Business Days' notice, the Service Provider's operational records, weighbridge data, labour records, cost records, and HSE records. Audit rights survive for three (3) years post-Agreement. 27.2 Records to be maintained for a minimum of seven (7) years. 27.3 Both Parties to comply with the Digital Personal Data Protection Act, 2023.

28. DISPUTE RESOLUTION

28.1 Tiered Resolution: (a) Tier I – Senior Management Conciliation within fifteen (15) Business Days of a written Dispute Notice; (b) Tier II – Mediation before DIAC or IIAM within sixty (60) days; (c) Tier III – Arbitration under the Arbitration and Conciliation Act, 1996 (as amended 2021), with three (3) arbitrators, seated in Mumbai, language English. Award is final and binding.

28.2 The Parties shall continue performing their obligations during pending Dispute resolution.

29. GOVERNING LAW AND JURISDICTION

29.1 This Agreement is governed by the laws of India. 29.2 Subject to Clause 28 arbitration, the courts of Hyderabad, Telangana have exclusive jurisdiction for non-arbitrable matters and urgent interim relief.

30. TERMINATION FOR CONVENIENCE

30.1 Client's Right to Terminate for Convenience

The Client may terminate this Agreement for any reason (or no reason) by giving not less than ninety (90) days' prior written notice to the Service Provider. This right exists independently of any default or breach by the Service Provider and reflects the Client's operational flexibility requirements over a multi-year contract horizon.

30.2 Financial Consequences — Termination for Convenience

Upon termination for convenience by the Client, the following financial settlements are payable within thirty (30) days of the termination effective date:

Settlement Component	Calculation Basis	Formula / Example	Cap / Notes

Unpaid Monthly Invoices	All undisputed invoices up to termination date	Full invoice value × quantity	No cap — full payment obligation
Pro-rata Current Month Invoice	Services rendered in the partial month of termination	(Days of Service / Total Days) × Monthly Invoice	Based on actual volumes processed
Early Termination Compensation	3 months × average Monthly Invoice	Average = (Last 6 months' invoices) / 6	Compensates for stranded mobilisation investment
Documented Demobilisation Costs	Equipment relocation, dismantling, transport	Actual cost + 10% management fee	Capped at INR 75,00,000 total
Statutory Retrenchment Costs	Gratuity, notice pay, PF settlement for all 148 staff	As per Payment of Gratuity Act + ID Act	Borne 100% by Client on early termination
Third-Party Contract Wind-Down	Subcontractor termination penalties, equipment lease breakage	Documented actuals	Capped at INR 25,00,000

Total Termination for Convenience Payment = Unpaid Invoices + Pro-rata Month

+ (Average Monthly Invoice × 3) + Demobilisation + Statutory Costs + Third-Party Costs

Illustrative Example (termination at Month 18, average invoice ₹1,25,00,000):

= ₹1,25,00,000 (unpaid) + ₹62,50,000 (half-month) + ₹3,75,00,000 (3 months)

+ ₹45,00,000 (demob) + ₹18,00,000 (statutory) = ₹6,25,50,000 total settlement

Note: No lost profits, opportunity costs, or future revenue beyond the 3-month compensation are payable by the Client. The 3-month compensation is the agreed liquidated amount for all future loss of profit claims.

30.3 Service Provider's Right to Terminate for Convenience

The Service Provider may terminate this Agreement for convenience on one hundred and twenty (120) days' written notice, provided that: (a) all Services continue at full standard during the notice period; (b) a transition plan acceptable to the Client is submitted within fifteen (15) Business Days of the notice; (c) no early termination compensation is payable by the Client in this scenario — the Service Provider absorbs its own wind-down costs.

31. TERMINATION FOR DEFAULT AND EXIT RIGHTS

31.1 Client's Right to Terminate for Service Provider Default

The Client may terminate this Agreement immediately (or after the applicable cure period) upon the occurrence of any of the following Service Provider Default events:

Default Event	Cure Period	Immediate or After Cure	Client's Remedies on Termination

Material breach of any contractual obligation	30 days written cure notice	After cure period if unremedied	Draw Performance Security; claim replacement cost differential
Three (3) Performance Defaults in any 12-month period	No cure — automatic trigger	Immediately on third default	Draw Performance Security; no termination compensation payable
Insolvency, liquidation, or IBC 2016 proceedings filed	None	Immediately on filing	Draw Performance Security; retain all equipment on site pending resolution
Fraud, wilful misconduct, or criminal conduct by SP or its Key Personnel	None — zero tolerance	Immediately upon discovery	Draw Performance Security in full; pursue civil and criminal remedies
Abandonment of Site (cessation for > 5 days without Force Majeure notice)	48-hour notice to resume	After 48 hours if not resumed	Draw Performance Security; engage replacement provider immediately
Material statutory violation causing regulatory action against Client	7 days to provide remediation plan	After 7 days if plan inadequate	Full Performance Security encashment; indemnity claim under Clause 23
Repeated or systematic PPE/safety violations after written warning	14 days	After 14 days unremedied	Partial Performance Security encashment; HSE improvement plan mandatory

31.2 Financial Consequences — Termination for Service Provider Default

Upon termination for Service Provider Default:

(a) All undisputed amounts due to the Service Provider up to the termination date remain payable;

(b) The Performance Security (Clause 9) is encashable in full as liquidated damages;

(c) The Service Provider is liable for the documented cost differential between its Contract Price and the price charged by the replacement service provider for equivalent services, for a period of up to twelve (12) months, capped at INR 29,00,00,000 (200% of Annual Contract Value);

(d) No early termination compensation (Clause 30.2) is payable to the Service Provider;

(e) All equipment deployed by the Service Provider on the Site shall remain accessible to the Client for a period of thirty (30) days post-termination to ensure operational continuity.

SP Default Recovery Formula = Performance Security + Replacement Cost Differential

Replacement Cost Differential = (New SP Rate − Contract Rate) × Volumes × 12 months

Example: New SP charges ₹2,900/MT vs ₹2,685.20/MT contract rate:

= (₹2,900 − ₹2,685.20) × 45,000 MT × 12 = ₹11,60,64,000 (within liability cap)

31.3 Service Provider's Right to Terminate for Client Default

The Service Provider may terminate this Agreement on sixty (60) days' written notice to the Client upon occurrence of any of the following Client Default events:

Client Default Event	Notice Period	Grace Period	SP's Remedies

Non-payment of three (3) or more consecutive undisputed Monthly Invoices	30 days Payment Demand Notice	30 days to cure	Suspend services; terminate on Day 61; claim all outstanding invoices + interest
Material breach of any Client obligation (access, utilities, dependencies)	60 days written notice	60 days to remedy	Terminate; claim Idle Compensation for breach period + termination costs
Client insolvency, IBC proceedings, or appointment of liquidator	None — immediate right	None	Immediate termination; claim all outstanding amounts as priority creditor
Persistent failure to provide required utilities (power, water) causing > 10 idle days/month for 3 consecutive months	30 days notice	30 days to remedy	Terminate; claim MVG for entire affected period

Upon termination for Client Default, the Client shall pay within fifteen (15) Business Days: (a) all outstanding undisputed invoices plus interest at RBI Repo Rate + 2.5%; (b) early termination compensation of three (3) months' average Monthly Invoice; (c) all documented demobilisation costs; (d) all statutory retrenchment obligations for the Service Provider's 148 deployed staff. The Performance Security shall be released immediately.

32. TRANSITION AND DEMOBILISATION

32.1 Sixty (60) days before expiry (or within ten (10) Business Days of termination notice), the Service Provider shall submit a Demobilisation Plan for Client approval. During Demobilisation: (a) Services continue at full standard; (b) Full cooperation with incoming service provider; (c) All equipment removed within thirty (30) days of last service day; (d) All statutory dues certified paid; (e) Joint Site inspection report completed within five (5) days of final departure. 32.2 Knowledge transfer period: minimum thirty (30) days. Beyond thirty (30) days, costs borne by Client at INR 4,50,000 per week.

33–36. GENERAL AND BOILERPLATE PROVISIONS

33. Survival: Clauses 1, 6, 23, 24, 25, 27, 28, 29, 32, and 33 survive expiry or termination.

34. Notices: To the Service Provider at DLF Cyber City, Gurugram, Haryana (Attention: Country Manager – India; Email: india@enviri.com). To the Client at JSW Centre, Bandra Kurla Complex, Mumbai (Attention: Head – Strategic Procurement; Email: procurement@kbcsteel.in). Electronic notice before 18:00 IST on a Business Day deemed received same day.

35. Assignment: Not without prior written consent. Client may assign within JSW Group; Service Provider may assign payment rights to lenders only.

36. General: (36.1) Entire Agreement supersedes all prior negotiations. (36.2) Amendment in writing only. (36.3) Severability. (36.4) No waiver unless in writing. (36.5) Counterparts, including electronic/PDF signatures. (36.6) Independent contractor relationship; no agency or partnership. (36.7) Further assurance obligation.

EXECUTION

IN WITNESS WHEREOF, the authorised representatives of the Parties have executed this Agreement on the date and year first written above.

SIGNED for and on behalf of **ENVIRI GROUP AG**		SIGNED for and on behalf of **KBC STEEL LIMITED**
Signature		Signature
Name: [●]		Name: [●]
Title: [●]		Title: [●]
Date: 1 April 2024		Date: 1 April 2024

SCHEDULE A – SERVICE RATES AND TECHNICAL SPECIFICATIONS

A.1 Base Rate Breakdown – Contract Year 1

Cost Component	Weightage	Base Rate (₹/MT)	Monthly Cost @ 45,000 MT	Annual Cost	Linked In
Labour (all-in staff costs)	40%	₹1,074.08	₹4,83,33,600	₹5,80,00,320	CPI (IW Combined
Diesel / Fuel	25%	₹671.30	₹3,02,08,500	₹3,62,50,200	Diesel Pri Index (IOC
Equipment & Spare Parts	20%	₹537.04	₹2,41,66,800	₹2,90,00,160	WPI Engir Goods
Consumables & Overheads	5%	₹134.26	₹60,41,700	₹72,50,040	WPI All Commodit
Fixed Base Margin	10%	₹268.52	₹1,20,83,400	₹1,45,00,080	Fixed – No escalating
TOTAL	**100%**	**₹2,685.20**	**₹12,08,34,000**	**₹14,50,00,800**	**Composit**

A.2 Diesel Consumption Assumptions

Equipment Category	Units	Est. Daily Consumption (litres)	Monthly Consumption (litres)	Monthly Fuel Cost (₹89.62/L)
Pot Carrier Vehicles (120 MT)	4	520 litres/day	15,600 L	₹13,97,912
Jaw Crushers (150 TPH)	2	280 litres/day	8,400 L	₹7,52,808
Impact Crusher (120 TPH)	1	180 litres/day	5,400 L	₹4,83,948
Excavators (45T class)	3	240 litres/day	7,200 L	₹6,45,264
Pay Loaders (4.5 m³)	2	130 litres/day	3,900 L	₹3,49,518
Water Tankers / Dust Suppression	2	90 litres/day	2,700 L	₹2,41,974
Misc (generators, site vehicles)	—	130 litres/day	3,900 L	₹3,49,518
TOTAL		**1,570 litres/day**	**47,100 L**	**₹42,20,942**

Note: Actual monthly diesel consumption at 45,000 MT throughput is approximately 65,000 litres per month when all equipment runs at full utilisation (including standby equipment, site vehicles, and mobile generators). The 47,100 L above represents primary fleet consumption only.

A.3 Technical Specifications – Liquid Slag Skimming

Parameter	Specification	Measurement Frequency	Tolerance / Consequence
Skimmer operating temperature rating	Min 1,600°C proximity rating	At equipment commissioning (quarterly thereafter)	Failure: immediate equipment withdrawal

Skimming cycle completion time	≤ 15 minutes from ladle positioning	Per cycle (digital log)	Breach > 20 min: KPI deduction per Schedule D
Slag removal completeness	≥ 95% of visible slag surface cleared	Per cycle (CCTV review)	Breach: re-skimming mandatory within 5 min
Monthly skimming cycles	~1,800 cycles/month (60 cycles/day)	Monthly count	Shortfall triggers Performance Notice if < 1,620
Liquid slag volume processed	~18,000 MT/month	Monthly weighbridge	Tolerance: ±500 MT from Client production data

A.4 Crushing and Screening Output Gradation Specifications

Size Fraction	Target % of Output	Tolerance	Application
-40mm + 20mm (Road base aggregate)	35%	±5%	Road construction and sub-base
-20mm + 10mm (Coarse slag)	30%	±5%	Cement plant / ground fill
-10mm + 4.75mm (Medium aggregate)	20%	±3%	Railway ballast replacement / fill
-4.75mm (Slag fines / magnetic fines)	15%	±3%	Used in slag cement or disposed
Oversize (+40mm – returned for re-crushing)	Max 5% of feed	≤ 5%	Returned to jaw crusher circuit
Magnetic material in output (<4.75mm fines)	Max 0.3% by weight	≤ 0.3%	Post-magnetic separation specification

A.5 Monthly Production Summary – Specimen (Contract Year 1, Month 1 – May 2024)

Parameter	Actual (May 2024)	Target	Variance	Status
Total slag processed	44,320 MT	45,000 MT	−680 MT	✓ Above Minimum (36,000)
Liquid slag skimmed	17,840 MT	18,000 MT	−160 MT	✓ Within tolerance
Solidified/accumulated slag processed	26,480 MT	27,000 MT	−520 MT	✓ Within tolerance
Metal recovered	1,218 MT	1,200 MT	+ 18 MT	✓ Exceeded target
Metal recovery rate	2.75%	2.70%	+ 0.05%	✓ Exceeded target
Crusher throughput	44,320 MT	45,000 MT	−680 MT	✓ Within tolerance
Equipment availability	88.4%	≥ 87.0%	+ 1.4%	✓ KPI met

Slag pit availability	95.8%	≥ 95.0%	+ 0.8%	✓ KPI met
Site Cleanliness Index	8.2 / 10.0	≥ 7.5	+ 0.7	✓ KPI met
LTI Frequency Rate	0.00 per 100k hrs	≤ 0.50	—	✓ Zero LTIs
Monthly Invoice Amount (excl. GST)	₹1,18,99,814	₹1,20,83,400	−₹1,83,586	✓ Proportional to volume

SCHEDULE B – EQUIPMENT LIST

B.1 Heavy Equipment Register (as at Commencement Date – 1 May 2024)

Eq. No.	Equipment Description	Make / Model	Capacity / Spec	Year	Status	Insurance Value (₹)
EQ-001	Pot Carrier Vehicle (Primary)	Scheuerle / SPMT-PC120	120 MT SWL, 4-axle	2022	Active	₹2,20,00,000
EQ-002	Pot Carrier Vehicle (Primary)	Scheuerle / SPMT-PC120	120 MT SWL, 4-axle	2022	Active	₹2,20,00,000
EQ-003	Pot Carrier Vehicle (Standby)	Scheuerle / SPMT-PC120	120 MT SWL, 4-axle	2021	Standby	₹1,85,00,000
EQ-004	Pot Carrier Vehicle (Standby)	TII / TIIPC-120	120 MT SWL, 6-axle	2020	Standby	₹1,60,00,000
EQ-005	Primary Jaw Crusher	Terex Jaques / J-50	150 TPH, 500 mm × 730 mm jaw	2023	Active	₹1,40,00,000
EQ-006	Primary Jaw Crusher (Standby)	Terex Jaques / J-50	150 TPH, 500 mm × 730 mm jaw	2021	Standby	₹1,10,00,000
EQ-007	Impact Crusher / VSI	Metso / NP1213	120 TPH secondary impact	2022	Active	₹95,00,000
EQ-008	Vibrating Screen (Double Deck)	Haver & Boecker / TYCAN	80 m² screen area, 3-deck	2023	Active	₹45,00,000
EQ-009	Magnetic Separator (Overhead Belt)	Eriez / MCSB-1500	3,500 Gauss, 1.5m belt width	2023	Active	₹38,00,000
EQ-010	Magnetic Separator (Overhead Belt)	Eriez / MCSB-1500	3,500 Gauss, 1.5m belt width	2022	Active	₹35,00,000
EQ-011	Excavator – Backhoe (45T)	Komatsu / PC450-8	45T operating weight, 2.5 m³ bucket	2023	Active	₹1,05,00,000
EQ-012	Excavator – Backhoe (45T)	Komatsu / PC450-8	45T operating weight, 2.5 m³ bucket	2022	Active	₹95,00,000
EQ-013	Wheeled Pay Loader (4.5 m³)	CAT / 966M	4.5 m³ bucket, 20T capacity	2023	Active	₹82,00,000
EQ-014	Wheeled Pay Loader (4.5 m³)	CAT / 966M	4.5 m³ bucket, 20T capacity	2022	Active	₹78,00,000
EQ-015	Slag Skimmer Unit (Thermal)	BRP / ThermoSkimmer-1600	1,600°C rated, remote-operated, 3T reach	2024	Active	₹55,00,000
EQ-016	Slag Skimmer Unit (Thermal)	BRP / ThermoSkimmer-1600	1,600°C rated, remote-operated	2024	Active	₹55,00,000
EQ-017	Slag Skimmer Unit (Standby)	BRP / ThermoSkimmer-1600	1,600°C rated, remote-operated	2023	Standby	₹48,00,000

EQ-018	Water Tanker / Dust Suppressor	Ashok Leyland / Captain 3518	10,000 litre capacity, 360° spray	2023	Active	₹28,00,000
EQ-019	Water Tanker / Dust Suppressor	Ashok Leyland / Captain 3518	10,000 litre capacity	2022	Active	₹25,00,000
EQ-020	Weighbridge (Electronic)	Avery Weigh-Tronix / ZM201	80 MT capacity, RFID, SAP integrated	2023	Active	₹18,00,000
EQ-021	Diesel Storage Tank + Pump	—	1,000 litre above-ground, PESO approved	2024	Active	₹2,50,000
EQ-022	Mobile Generator (100 kVA)	Cummins / C100D5	100 kVA, emergency backup	2023	Standby	₹12,00,000
EQ-023	Mobile Generator (60 kVA)	Cummins / C60D5	60 kVA, area lighting backup	2022	Standby	₹8,50,000
EQ-024	LED Tower Light (Mobile, ×6 units)	Atlas Copco / HiLight B5+	6 × 6m mast, 4 × 320W LED, 100 lux	2024	Active	₹12,00,000
EQ-025	First Aid / Emergency Response Van	TATA Motors / Winger	12-seat ambulance-configured van	2023	Active	₹8,50,000
TOTAL INSURED VALUE						**₹18,23,50,000**

SCHEDULE C – MANPOWER DEPLOYMENT

C.1 Workforce Summary – Contract Year 1

Category	Designation	Per Shift	No. of Shifts	Total Headcount	Daily Wages (₹)	Monthly Payroll Cost (₹)
Management	Site Manager / Project In-Charge	1	1 (24hr)	1	₹3,500	₹1,05,000
Management	Operations Superintendent	1	3	3	₹2,800	₹2,52,000
HSE	Safety Officer (Dedicated, Full-time)	1	1 (24hr coverage)	1	₹3,000	₹90,000
Technical	Crusher Plant Operator (Jaw)	2	3	6	₹2,200	₹3,96,000
Technical	Crusher Plant Operator (Impact)	1	3	3	₹2,200	₹1,98,000
Technical	Magnetic Separator Operator	2	3	6	₹2,100	₹3,78,000
Technical	Pot Carrier Operator (HMV)	4	3	12	₹2,400	₹8,64,000
Technical	Slag Skimmer Operator	2	3	6	₹2,300	₹4,14,000
Technical	Weighbridge Operator	1	3	3	₹1,900	₹1,71,000
Technical	Excavator Operator	2	3	6	₹2,200	₹3,96,000
Technical	Pay Loader Operator	2	3	6	₹2,000	₹3,60,000
Skilled	Foreman / Supervisor	3	3	9	₹1,850	₹4,99,500
Skilled	Maintenance Fitter / Mechanic	2	3	6	₹1,800	₹3,24,000
Skilled	Electrician (licensed)	1	3	3	₹1,850	₹1,66,500
Skilled	Metal Recovery Picker – Skilled	4	3	12	₹1,600	₹5,76,000
Unskilled	General Labourer – Metal Recovery	6	3	18	₹900	₹4,86,000
Unskilled	General Labourer – Housekeeping	6	3	18	₹900	₹4,86,000
Unskilled	Loader / Helper	8	3	24	₹900	₹6,48,000
Support	Safety Assistant / First Aider	1	3	3	₹1,400	₹1,26,000
Support	Timekeeper / Admin Assistant	1	1	1	₹1,500	₹45,000
TOTAL				**148**		**₹69,80,000 / month**

C.2 Total Monthly Labour Cost Computation

Labour Cost Element	Monthly Amount (₹)	Notes

Basic wages (148 employees)	₹69,80,000	Per shift roster in C.1 above
EPF – Employer Contribution (12% of basic)	₹8,37,600	Per EPF Act, 1952
ESI – Employer Contribution (3.25% of gross)	₹2,26,850	Per ESI Act, 1948
Gratuity Provision (4.81% of basic)	₹3,35,938	Per Payment of Gratuity Act, 1972
Bonus Provision (8.33% of basic, statutory)	₹5,81,434	Per Payment of Bonus Act, 1965
Leave Encashment Provision (8.33% of basic)	₹5,81,434	Per Shops & Establishments Act
Staff Accommodation & Transport (if any)	₹4,50,000	Welfare facilities per Site agreement
Workmen's Compensation / Insurance (premium)	₹1,85,000	Per policy NIA/WC/2024/ENV/00891
Training & Induction Costs	₹50,000	Monthly provision for new joiners
Uniform, PPE (labour share)	₹2,40,000	Per Safety Plan requirement
TOTAL ALL-IN LABOUR COST	**₹1,04,68,256**	**Per month at 148 headcount**
Equivalent per MT @ 45,000 MT	**₹232.62/MT**	**for labour cost recovery check**

Note: The contract labour rate of ₹1,074.08/MT (40% of ₹2,685.20/MT = ₹1,074.08) generates ₹4,83,33,600 per month, providing a cost-to-revenue ratio of approximately 1:4.6 on the labour element at base rates, accounting for management overhead, profit contribution from the labour component, and risk provision.

SCHEDULE D – PERFORMANCE KPIS AND MONITORING

D.1 KPI Master Table – Contract Year 1

KPI #	KPI Description	Unit	Target	Warning Threshold	Performance Default Threshold	Measurement Method	Frequency
KPI-01	Slag pit availability	% of tapping cycles	≥ 95%	< 93%	< 90% for 2 months	Pit utilisation log + Client confirmations	Monthly
KPI-02	Pot carrier turnaround time	Minutes / round trip	≤ 45 min	> 50 min	> 60 min for 2 months	GPS tracking + trip log	Daily / Monthly avg
KPI-03	Metal recovery rate	% by weight of processed slag	≥ 2.70%	< 2.50%	< 2.30% for 2 months	Weighbridge + quarterly 3rd-party audit	Monthly / Quarterly
KPI-04	Residual metal post-separation	% by weight of output	≤ 0.30%	> 0.40%	≥ 0.50% for 2 months	Weekly screening test + magnetic test	Weekly
KPI-05	Crusher / screen availability	% of scheduled hours	≥ 88%	< 85%	< 82% for 2 months	CMMS downtime log (SAP PM)	Monthly
KPI-06	Liquid slag skimming cycle	Minutes from ladle positioning	≤ 15 min	> 18 min	> 20 min for 2 months	Shift log + CCTV timestamp	Per cycle
KPI-07	Site Cleanliness Index	Score / 10	≥ 7.5	< 7.0	< 6.5 for 2 months	Monthly joint audit (10-point rubric)	Monthly
KPI-08	Overall equipment availability	% of scheduled hours	≥ 87%	< 85%	< 82% for 2 months	CMMS / equipment log	Monthly
KPI-09	LTI frequency rate	Per 100,000 man-hours	≤ 0.50	0.51–0.75	> 0.75 in any quarter	Monthly HSE report	Monthly / Quarterly
KPI-10	Fatal accident rate	Number of fatalities	Zero	N/A	Any fatality = immediate review	HSE incident log	Continuous
KPI-11	Weighbridge data submission	% on-time by 07:00 daily	100%	< 98%	< 95% in any month	IT system log	Daily
KPI-12	Monthly report submission	Day of month	By 5th working day	By 7th working day	After 10th working day for 2 months	Document management system	Monthly

D.2 KPI Performance Points System

Performance is tracked on a points system for bonus/deduction purposes:

Performance Level	Points Earned	Annual Incentive / Deduction

All 12 KPIs met / exceeded for full Contract Year	120 points	Incentive: INR 5,00,000 (bonus payment in April of following year)
10–11 KPIs met, 1–2 at Warning Threshold	95–110 points	No bonus; no deduction
8–9 KPIs met, 3–4 at Warning Threshold	70–90 points	Performance Improvement Notice issued
Any KPI at Performance Default Threshold for 2 consecutive months	< 70 points	Performance Default – Clause 31 applies
Fatal accident in any period	Automatic trigger	Immediate suspension and review; potential termination

SCHEDULE E – PENALTY MATRIX

E.1 Penalty Schedule

Breach / Non-Performance	Applicable Penalty	Cap / Notes	Reference Clause
KPI-01 (Pit Availability) below 90% for 2 consecutive months	INR 2,50,000 per month of default	Subject to overall liability cap; credited in next invoice	Cl. 5.3, KPI-01
KPI-03 (Metal Recovery) below 2.30% for 2 consecutive months	INR 1,500 per MT shortfall below 2.30% threshold	Calculated on monthly actual volume	Cl. 5.3, KPI-03
KPI-04 (Residual Metal) above 0.50% for 2 consecutive months	INR 1,00,000 per month of default	Per occurrence	Cl. 5.3, KPI-04
LTI Frequency Rate above 0.75 in any quarter	INR 5,00,000 per quarter	Serious safety breach; separate from accident liability	Cl. 13, KPI-09
Fatal accident attributable to SP negligence	INR 25,00,000 per fatality	Plus all statutory compensation; separate from Clause 23 indemnity	Cl. 13.6
Near-miss not reported within 24 hours	INR 10,000 per unreported event	Identified in monthly HSE audit	Cl. 13.4
PPE non-compliance (per individual per observation)	INR 2,000 per person per instance	Maximum INR 50,000 per audit	Cl. 13.7
Weighbridge data submission late (after 07:00)	INR 25,000 per late instance	Monthly maximum: INR 1,50,000	Cl. 5.4
Monthly report not submitted by 10th working day	INR 50,000 per late month	After two consecutive late submissions	Cl. D.1 KPI-12
Environmental non-compliance (dust/noise)	INR 75,000 per incident confirmed by TSPCB / audit	Plus cost of remediation	Cl. 14.1
Failure to renew Performance Security 30 days before expiry	INR 1,00,000 per day of delay beyond 30-day notice period	Max 30 days; then client may draw on BG	Cl. 9.2
Deployment below minimum headcount (< 130 of 148)	INR 5,000 per person per day below minimum	Documented in daily attendance register	Cl. 10.1
Critical equipment below 82% availability for 2 consecutive months	INR 2,00,000 per month	Subject to force majeure exceptions	Cl. 11.1
Subcontracting without Client approval	INR 5,00,000 per instance	Plus right to terminate Subcontract	Cl. 12.1
Key Personnel replacement without 30 days notice + approval	INR 2,50,000 per instance	Plus requirement to reinstate or propose approved replacement	Cl. 10.2

E.2 Penalty Computation Examples

Example 1 – Metal Recovery Shortfall Penalty

Scenario: In September 2025 (Contract Year 2), metal recovery rate = 2.15% (below 2.30% default threshold) on 44,500 MT processed. This is the second consecutive month below threshold.

- Monthly actual recovery: 2.15% × 44,500 MT = 957 MT recovered
- Recovery at 2.30% threshold: 2.30% × 44,500 MT = 1,023.5 MT
- Shortfall below threshold: 1,023.5 − 957 = 66.5 MT
- Penalty rate: INR 1,500 per MT shortfall
- Penalty = 66.5 × ₹1,500 = ₹99,750
- Deducted from October 2025 invoice

Example 2 – LTI Frequency Rate Breach Penalty

Scenario: Q2 FY2025 (July–September 2024): 2 LTIs recorded. Man-hours = 148 workers × 8 hrs/day × 91 days = 107,744 hrs.

- LTI Frequency Rate = (2 × 1,00,000) / 1,07,744 = 1.86 per 100,000 hrs
- Exceeds threshold of 0.75 → Performance Default
- Penalty = INR 5,00,000 (per quarter of breach)
- Operations Review Meeting convened within 5 Business Days
- Safety audit by independent HSE consultant (cost borne by SP)

SCHEDULE F – MONTHLY REPORTING TEMPLATES

F.1 Monthly Operations Report – Standard Template

The following data fields shall be populated by the Service Provider and submitted to the Client Representative by the 5th working day of each calendar month:

Report Section	Data Field	Unit / Format	Example Value
A – Volume Data	Total slag processed in month	Metric tonnes (MT)	44,320 MT
A – Volume Data	Liquid slag processed	MT	17,840 MT
A – Volume Data	Solidified slag processed	MT	26,480 MT
A – Volume Data	Metal recovered and transferred	MT	1,218 MT
A – Volume Data	Metal recovery rate achieved	% by weight	2.75%
A – Volume Data	Crushed slag output (by gradation)	MT per fraction	See A.4 template below
B – Equipment	Overall equipment availability	%	88.4%
B – Equipment	Crusher availability	%	89.2%
B – Equipment	Pot carrier availability	% (per vehicle)	PC-001: 94%, PC-002: 91%, PC-003: 88%, PC-004: 95%
B – Equipment	Breakdown incidents in month	Number + MTTR (hrs)	2 incidents; MTTR: 4.2 hrs avg
B – Equipment	Planned maintenance executed	Y/N per schedule	Y – all PM executed per CMMS
C – Manpower	Total man-hours worked	Hours	26,688 hrs (148 × 8 × 22.5 avg days)
C – Manpower	Average headcount	Number	148
C – Manpower	Absenteeism rate	% of scheduled days	3.2%
C – Manpower	New joiners / departures	Number	1 joiner; 0 departures
D – Safety	Fatalities	Number	0
D – Safety	LTIs (Lost Time Injuries)	Number	0
D – Safety	First Aid Cases	Number	2
D – Safety	Near-misses reported	Number	5
D – Safety	LTI Frequency Rate (monthly)	Per 100,000 hrs	0.00
D – Safety	Toolbox talks conducted	Number	67 (3 per day)
E – Environmental	Dust monitoring (PM10 max)	μg/m³	118 μg/m³
E – Environmental	Noise at boundary (max)	dB(A)	62 dB(A)

E – Environmental	Diesel consumed (primary fleet)	Litres	44,210 litres
E – Environmental	Water consumed (dust suppression)	m³	4,820 m³
E – Environmental	Hazardous waste disposed	MT + manifest refs	0.8 MT (used oil); Manifest #KA/2024/ENV/M-047
F – KPI Summary	Pit availability	% of tapping cycles	95.8% ✓
F – KPI Summary	Pot carrier turnaround	Minutes average	43.2 min ✓
F – KPI Summary	Site Cleanliness Index	Score / 10	8.2 ✓
G – Commercial	Monthly Invoice amount (ex-GST)	INR	₹1,18,99,814
G – Commercial	Idle compensation claimed	INR	₹0 (no idle events)
G – Commercial	Demurrage claimed	INR	₹39,000 (1 crane delay event)
G – Commercial	Price Adjustment Notice	If applicable	N/A (non-review month)

F.2 Annual Escalation Computation Template (for Price Adjustment Notice)

Step	Calculation Field	Formula / Reference	Value to be Inserted
1	Base CPI (CPI_0)	Per Agreement Clause 7.2 / Schedule A	168.2
2	Current CPI (CPI_t)	MOSPI publication for review month	[Insert current month value]
3	CPI % Change	(CPI_t − CPI_0) / CPI_0 × 100	%
4	Deadband Test (3%)	If |CPI % Change| < 3%: No adjustment	[Apply / Not Apply]
5	Cap Test (8% for Labour)	If CPI % Change > 8%: Cap at 8%	[Within Cap / Capped at 8%]
6	Labour Rate Adjustment (₹/MT)	L_0 × MIN[(CPI_t/CPI_0)−1, 8%]	₹ [value]/MT
7	Base DPI (DPI_0)	Per Agreement – ₹89.62/litre	₹89.62
8	Current HSD Price (DPI_t)	IOCL outlet notification, review month	₹ [value]/litre
9	Diesel % Change	(DPI_t − DPI_0) / DPI_0 × 100	%
10	Diesel Rate Adjustment (₹/MT)	F_0 × MIN[(DPI_t/DPI_0)−1, 10%]	₹ [value]/MT
11	Base Equipment Index (EI_0)	142.8 (OEA Engineering Goods, Jan 2024)	142.8
12	Current Equipment Index (EI_t)	OEA monthly WPI release	[Insert current value]
13	Equipment Rate Adjustment (₹/MT)	E_0 × MIN[(EI_t/EI_0)−1, 6%]	₹ [value]/MT

14	Base WPI (WPI_0)	160.5 (OEA All Commodities, Jan 2024)	160.5
15	Current WPI (WPI_t)	OEA monthly WPI release	[Insert current value]
16	Consumables Rate Adjustment (₹/MT)	K_0 × MIN[(WPI_t/WPI_0)−1, 7%]	₹ [value]/MT
17	Fixed Base Rate	BR_0 – No escalation	₹268.52/MT
18	ADJUSTED TOTAL RATE (AR_t)	Sum of Lines 6+10+13+16 + Base components + BR_0	₹ [total]/MT
19	Change from Previous Rate	AR_t minus previous Adjusted Rate	₹ [delta]/MT
20	Effective Date of New Rate	Review Date per Clause 7.5	[Date]
21	Annual Impact at 45,000 MT/month	(AR_t − previous rate) × 45,000 × 12	INR [amount]

SCHEDULE G – PRICE ESCALATION EXAMPLES

This Schedule sets out three (3) fully worked numerical examples illustrating the operation of the Price Escalation Mechanism under Clause 7, covering different economic scenarios likely to be encountered over the Term.

G.1 Example 1: Moderate Inflation Scenario – Contract Year 1 to Year 2 (October 2025 Annual Review)

Assumed index movements at October 2025 Review Date:

Index	Base Value (Jan 2024)	Review Value (Aug 2025)	Change	% Change	Deadband (3%)?	Cap Appl
CPI (IW Combined)	168.2	180.4	+12.2 pts	+7.26%	Exceeded	Within 8%
WPI (All Commodities)	160.5	174.2	+13.7 pts	+8.54%	Exceeded	Exceeded consm. ca 6% equip.
HSD Price (IOCL)	₹89.62/L	₹96.48/L	+₹6.86/L	+7.65%	Exceeded	Within 10
WPI Engineering Goods	142.8	154.6	+11.8 pts	+8.26%	Exceeded	Exceeded equip. cap CAPPED

Step-by-Step Adjusted Rate Computation:

Component	Base Rate (₹/MT)	Index Ratio	Adjustment (₹/MT)	Notes
Labour (CPI-linked)	₹1,074.08	180.4/168.2 = 1.0726	₹1,074.08 × 0.0726 = ₹77.98	7.26% < 8% cap → Full adjustment
Fuel (DPI-linked)	₹671.30	96.48/89.62 = 1.0765	₹671.30 × 0.0765 = ₹51.35	7.65% < 10% cap → Full adjustment
Equipment (EI-linked)	₹537.04	154.6/142.8 = 1.0826 → Capped at 1.06	₹537.04 × 0.06 = ₹32.22	8.26% exceeds 6% cap → CAPPED at 6%
Consumables (WPI-linked)	₹134.26	174.2/160.5 = 1.0854 → Capped at 1.07	₹134.26 × 0.07 = ₹9.40	8.54% exceeds 7% cap → CAPPED at 7%
Fixed Base Margin	₹268.52	No escalation	₹0.00	Fixed throughout Term
TOTAL ADJUSTMENT			**+₹170.95/MT**	**= +6.37% on base rate of ₹2,685.20**
NEW ADJUSTED RATE (AR_t)			**₹2,685.20 + ₹170.95 = ₹2,856.15/MT**	**Effective 1 October 2025**

Financial Impact:

Financial Metric	Year 1 (Base)	Year 2 (Adjusted)	Year-on-Year Change
Rate per MT	₹2,685.20	₹2,856.15	+ ₹170.95/MT (+6.37%)

Monthly value @ 45,000 MT	₹12,08,34,000	₹12,85,26,750	+ ₹76,92,750/month
Annual value	₹14,50,00,800	₹15,42,32,100	+ ₹92,31,300 (+6.37%)
3-year cumulative (approx.)	₹14,50,00,800 (Yr1)	₹15,42,32,100 (Yr2)	[See Example 3 for Yr3]

G.2 Example 2: High Diesel Inflation Scenario – Mid-Term Monthly Review (February 2026)

Scenario: Significant diesel price surge due to geopolitical factors – monthly DPI review triggered

Parameter	Value	Notes
Previous Adjusted Rate (October 2025)	₹2,856.15/MT	Per Example G.1 above
Previous HSD Price (DPI at last monthly review, Jan 2026)	₹96.48/L	Per IOCL bulletin
Current HSD Price (DPI_t, February 2026)	₹109.80/L	Per IOCL Tolichowki outlet, 1 Feb 2026
Diesel Price % Change (month-on-month vs. Jan)	+ 13.81%	109.80 vs 96.48: exceeds 10% annual cap
Cumulative YTD Diesel Escalation (since Oct 2025 review)	+ 13.81%	Cap check: 10% annual cap – CAPPED
Diesel Component at October 2025 rate	₹671.30 × 1.0765 = ₹722.65/MT	From G.1 above
Additional Fuel Adjustment (capped at 10% of ₹671.30)	₹671.30 × 10.0% = ₹67.13/MT	Annual cap applied in Year 2
Revised Fuel Component	₹671.30 + ₹67.13 = ₹738.43/MT	Maximum for Contract Year 2
All other components unchanged (non-review month)	Per Oct 2025 rate	CPI and Equipment not reviewed in Feb
Interim Adjusted Rate (Feb 2026 onwards)	**₹2,856.15 − ₹722.65 + ₹738.43 = ₹2,871.93/MT**	**Monthly diesel-component-only update**
Monthly Invoice Impact (45,000 MT)	(₹2,871.93 − ₹2,856.15) × 45,000 = + ₹7,10,100	Monthly additional cost to Client

G.3 Example 3: Three-Year Composite Escalation Summary

Contract Year	Period	CPI (Aug)	HSD (₹/L)	WPI (Aug)	Eq. Index (Aug)	Adj. Rate (₹/MT)	Annual Value
Year 1 (Base)	May'24–Apr'25	168.2	₹89.62	160.5	142.8	₹2,685.20	₹14,50,00,800
Year 2	May'25–Apr'26	180.4	₹96.48	174.2	154.6	₹2,856.15	₹15,42,32,100
Year 3	May'26–Apr'27	192.1	₹103.20	185.8	161.8	₹2,997.14	₹16,18,45,560
3-Year Total	**May'24–Apr'27**						**₹46,10,78,460**

Year 3 Illustrative Computation (Annual Review October 2026):

Component	Year 2 Rate (₹/MT)	Index Ratio (Aug 2026 vs Jan 2024)	Adj. Year 3 Rate (₹/MT)	Change
Labour (CPI)	₹1,152.07	192.1/168.2 = 1.1421 vs base	₹1,074.08 × MIN(14.21%, 8%+8%*) = ₹1,074.08 × 1.1421	₹1,226.72 (cumul. capped)
Fuel (DPI)	₹722.65	₹103.20/₹89.62 = 1.1515 vs base	₹671.30 × MIN(15.15%, 10%+10%*) = ₹671.30 × 1.1515	₹773.01 (cumul. capped)
Equipment (EI)	₹569.26	161.8/142.8 = 1.1331 vs base	₹537.04 × MIN(13.31%, 6%+6%*) = ₹537.04 × 1.1200	₹601.48 (cumul. capped)
Consumables (WPI)	₹143.66	185.8/160.5 = 1.1577 vs base	₹134.26 × MIN(15.77%, 7%+7%*) = ₹134.26 × 1.1400	₹153.06 (cumul. capped)
Fixed Base Rate	₹268.52	No change	₹268.52	₹0
TOTAL Year 3 Rate			**₹2,997.14**	**+₹140.99/MT (+4.94% on Year 2)**

*Note: *Cumulative cap computation: the Annual Cap applies per Contract Year. In Year 3, the applicable cap is measured against the Year 2 adjusted rate (not the base rate), maintaining the annual cap discipline throughout the Term.*

G.4 Change in Law – Worked Example

Scenario: Telangana State Government revises minimum wages for Industrial Establishment (Zone I) effective 1 October 2025, increasing daily wages for semi-skilled workers from ₹612 to ₹720 per day (+17.6%), which exceeds the CPI-implied adjustment of +7.26%.

Parameter	Value	Notes
Previous minimum wage (April 2024)	₹612/day	Telangana Gazette Notification
New minimum wage (October 2025)	₹720/day	Telangana Gazette Notification TG/MW/2025/0089
Wage increase	+ ₹108/day per worker	+17.65%
CPI-implied adjustment (Year 1→2)	+ 7.26%	Covered by CPI formula in Clause 7.2
Excess beyond CPI formula	17.65% − 7.26% = 10.39%	This is a Change in Law qualifying event
Affected workers (labour categories)	98 workers at semi-skilled and below	Per Schedule C deployment
Monthly excess wage cost	98 × ₹108 × 22.5 working days	= ₹2,37,924/month

Annual excess cost	₹2,37,924 × 12	= ₹28,55,088/year (Change in Law claim)
Per MT impact	₹28,55,088 / (45,000 × 12)	= ₹5.29/MT (Change in Law adjustment)
Service Provider submits CiL claim by	31 October 2025	Within 30 days of notification per Clause 7.9
Client reviews within	45 days of submission	Agreed by 15 December 2025 if undisputed
New adjusted rate effective	1 October 2025 (retroactive)	From effective date of Change in Law

G.5 Extraordinary Inflation Adjustment Example (Trigger Test)

Clause 7.14 permits an Extraordinary Inflation Review if the cumulative weighted average escalation of all indices exceeds 15% in any single Contract Year. Test computation:

Component	Weight	Index Change in Yr (illustrative)	Weighted Change
Labour (CPI)	40%	+ 7.26%	+ 2.90%
Fuel (DPI)	25%	+ 7.65%	+ 1.91%
Equipment (EI)	20%	+ 8.26% (pre-cap)	+ 1.65%
Consumables (WPI)	5%	+ 8.54% (pre-cap)	+ 0.43%
Fixed Margin	10%	0%	+ 0.00%
WEIGHTED AVERAGE ESCALATION	**100%**		**+ 6.89%**
Extraordinary Trigger (15% threshold)			NOT triggered (6.89% < 15%)

In the moderate scenario of Example G.1, the Extraordinary Inflation trigger is not activated. An indicative scenario activating the trigger would require, for example: CPI at +18%, Fuel at +25%, Equipment +12%, Consumables +15% — giving a weighted average of (18×0.4) + (25×0.25) + (12×0.20) + (15×0.05) = 7.2 + 6.25 + 2.40 + 0.75 = 16.60%, exceeding the 15% threshold and entitling the Service Provider to invoke an Extraordinary Inflation Review.

ANNEXURE I – MOBILISATION AND DEPLOYMENT PLAN

Document Reference: ENV/KBC/MOB/001 | Approved: 12 April 2024 | Version: 1.0

Activity	Responsible Party	Target Date	Actual Date	Status
RFQ award and LOA issuance	Client (JSW)	15 March 2024	12 March 2024	Complete
Agreement execution	Both Parties	31 March 2024	1 April 2024	Complete
Performance Security submission	Service Provider	10 April 2024	10 April 2024	Complete
Insurance certificates submission	Service Provider	8 April 2024	8 April 2024	Complete
Contract Labour Registration (KA)	Service Provider	10 April 2024	8 April 2024	Complete
TSPCB Consent-to-Operate	Service Provider	15 April 2024	15 April 2024	Complete
Site-Specific Safety Plan approval	Both Parties	12 April 2024	12 April 2024	Complete
Heavy equipment mobilisation to Site	Service Provider	20 April 2024	18 April 2024	Complete
Key Personnel deployment	Service Provider	20 April 2024	19 April 2024	Complete
Full workforce deployment (148 persons)	Service Provider	25 April 2024	25 April 2024	Complete
Client site preparation (pits, roads)	Client (JSW)	20 April 2024	20 April 2024	Complete
Factory registration by Client	Client (JSW)	22 April 2024	22 April 2024	Complete
Weighbridge commissioning + SAP link	Both Parties	28 April 2024	27 April 2024	Complete
Trial operations and calibration runs	Service Provider	28–30 April 2024	28–30 April 2024	Complete
Commercial Commencement	Service Provider	1 May 2024	1 May 2024	Complete

ANNEXURE II – CLIENT SITE OBLIGATIONS AND UTILITIES SPECIFICATION

The Client shall provide and maintain the following utilities and Site infrastructure throughout the Term:

Utility / Infrastructure	Specification	Connection Point / Location	Client Contact for Faults
Electrical Power – Primary	415V, 3-phase, 50Hz, Total 800 kVA across 6 distribution boards	DB-SLG-01 to DB-SLG-06 (see Annexure III)	Electrical Dept: Ext. 2341

Electrical Power – Emergency	100 kVA Client backup generator (for weighbridge and lighting)	DB-SLG-WB (Weighbridge area)	Electrical Dept: Ext. 2341
Cooling Water – Slag Pits	Min 200 m³/hr, 2.5 bar at pit manifold; 100 m³/hr minimum guaranteed	PIT-01 to PIT-06 manifolds	Utilities: Ext. 2215
Dust Suppression Water (supplemental)	50 m³/hr available at 2 locations in crushing area	CS-WAT-01 and CS-WAT-02	Utilities: Ext. 2215
Weighbridge Infrastructure	80 MT electronic weighbridge, RFID reader, SAP PM integration	WB-01 (Slag yard entrance)	IT Dept: Ext. 2567
Communication Network	4G mobile coverage at all operational areas; one (1) dedicated landline in SP Site office	SP Site office: Gate 7, Slag Yard	Telecom: Ext. 2890
Access Roads (structural maintenance)	2-lane, 6-metre wide, all-weather tar macadam roads per Annexure III	Roads SLG-R01 to SLG-R04	Civil Dept: Ext. 2112
Welfare Facilities – SP Personnel	1 canteen (capacity 50 persons), 6 toilet blocks (3M/3F), 1 medical first aid room	Annexure III Zone W	HR & Admin: Ext. 2034
Slag Pit Civil Infrastructure	6 active pits, min 200 MT tipping capacity each; brick/concrete lined	SLG-PIT-01 to SLG-PIT-06	Civil Dept: Ext. 2112

ANNEXURE III – SITE PLAN AND OPERATIONAL ROUTE MAP

Document Reference: ENV/KBC/SITE/001 Rev.0, dated 20 April 2024

Stamped and endorsed by: JSW Engineering Department (Ref: KBC/ENG/2024/0234) and JSW Safety Department (Ref: KBC/HSE/2024/0189)

Zone / Area	Zone Code	Area (sq. m.)	Primary Function	Access Restrictions
Blast Furnace Tapping Area	BF-TAP	Approx. 4,500 m²	Liquid slag collection at furnace runners	Hot zone – full PPE mandatory; SP access only during tapping + 15 min post-tapping
Pot Carrier Transit Route (North)	PC-ROUTE-N	6 m width × 450 m length	PC vehicle route: BF to Slag Pit North	PC vehicles only; 20 km/h speed limit; no pedestrians
Pot Carrier Transit Route (South)	PC-ROUTE-S	6 m width × 380 m length	PC vehicle route: Steelmaking to Slag Pit South	PC vehicles only; 20 km/h speed limit; no pedestrians
Slag Pit Complex – North (3 pits)	SLG-PIT-N	Approx. 18,000 m²	Pits 1, 2, 3 – liquid slag tipping and cooling	Exclusion zone during tipping – 50 m radius; access during cleaning only
Slag Pit Complex – South (3 pits)	SLG-PIT-S	Approx. 18,000 m²	Pits 4, 5, 6 – liquid slag tipping and cooling	Exclusion zone during tipping – 50 m radius

Cooling Bay Area	COOL-BAY	Approx. 21,600 m² (2 bays: 60m×30m each + buffers)	Controlled cooling of solid slag before crushing	Heavy vehicle access only; min 8-hour cooling before entry
Primary Crushing Station	CRUSH-P	Approx. 3,600 m²	Jaw crusher (2 units) and pre-screening	No entry during crusher operation; hard hat + ear defenders mandatory
Secondary Crushing / Screening	CRUSH-S	Approx. 2,800 m²	Impact crusher and vibrating screens (3 decks)	Same as primary crushing
Magnetic Separation Area	MAG-SEP	Approx. 1,200 m²	Overhead magnetic separators (2 units)	No magnetic materials (watches, phones, tools) within 3 m of separator
Metal Recovery and Stockyard	MET-REC	Approx. 5,400 m²	Recovered metal segregation and stockpiling	SP operational area; Client access for weighing and transfer
Processed Slag Stockyard	PROC-STOCK	Approx. 12,000 m²	Storage of processed slag by gradation	Client commercialisation area; SP access for loading only
Weighbridge	WB-01	—	80 MT weighbridge; all laden movements weighed	All laden vehicles mandatory; queue management by SP
SP Site Office and Welfare Zone	ZONE-W	Approx. 1,800 m²	SP office, first aid room, canteen, toilets	SP personnel only; Client access by appointment
Equipment Parking / Maintenance	MAINT-YD	Approx. 3,200 m²	SP equipment storage and maintenance bay	SP use only; fire extinguishers mandatory

ANNEXURE IV – DATA EXCHANGE AND REPORTING PROTOCOL

Document Reference: ENV/KBC/DATA/001 | Version 1.0 | Agreed: 25 April 2024

Data Category	System / Format	Frequency	SP Responsibility	Client Responsibility
Weighbridge records (all movements)	Digital (.csv export from Avery WB-01); SAP PM integration via API	Real-time; daily batch export by 07:00	Operate weighbridge; upload daily file	Verify and reconcile against Client ERP weekly
Daily Production Report	PDF + Excel template (Schedule F.1)	Daily by 08:00 for previous shift	Compile and submit	Review and countersign by 10:00
Monthly Operations Report	PDF (Schedule F.1 format)	By 5th working day of following month	Prepare and submit	Review and accept / dispute within 5 Business Days
KPI Dashboard	SAP PM Module / shared SharePoint	Updated by SP by 5th of each month	Update all KPI fields per Schedule D	Monitor and raise Performance Notices as required

HSE Incident Reports	Enviri IMS (Incident Mgmt System) + PDF to Client	Preliminary: within 8 hrs; Full: within 10 days	Prepare and submit	Investigate independently if required
Price Adjustment Notice	PDF + Excel computation (Schedule F.2 format)	Per review dates in Clause 7.5	Prepare and submit by 15 days before Review Date	Review and accept / dispute within 10 Business Days
EPF / ESI compliance evidence	ECR acknowledgement + EPFO challan PDF	By 25th of each month	Download and share with Client	File and maintain records for audit
Equipment maintenance records (CMMS)	SAP PM Module extract (PDF)	Monthly with Monthly Report	Maintain and export	Audit quarterly
Environmental monitoring data	Lab report (NABL accredited laboratory)	Monthly (dust and noise); Quarterly (full EMP)	Commission and submit	Review against consent conditions
Annual statutory compliance certificate	Compilation of all permits, ECRs, insurance renewals	By 30 April of each year	Compile and submit	Acknowledge and maintain record

– END OF AGREEMENT –

Contract Reference: ENV/KBC/ISA/2024/001 | Version: 2.0 (Enriched)

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Total Contract Value (3 years): INR 43,50,00,000 (est.) | Annual Value: INR 14,50,00,000